

#1 · Entry and Entry Summary Procedures

Can a broker file an entry using a power of attorney from an unlicensed intermediary?

Answer

A broker may only accept a power of attorney directly from the actual owner, purchaser, or consignee of the merchandise, or from another entity legally authorized to grant it, not from an unlicensed intermediary claiming to represent the importer without proper documentation, under 19 CFR Part 141 Subpart C. The broker must exercise reasonable care in verifying the identity and authority of the party granting the power of attorney. Filing on behalf of a party without a valid power of attorney can expose the broker to liability and disciplinary action.

#2 · Entry and Entry Summary Procedures

How does the concept of constructive liquidation affect entries under review during litigation?

Answer

Even while an entry is under protest or litigation at the Court of International Trade, the underlying liquidation, whether original or deemed under 19 USC 1504, generally remains the operative starting point unless and until it is legally overturned or reliquidated pursuant to a final court judgment or granted protest. This means duty liability as originally liquidated stands unless successfully challenged. Importers must still comply with payment obligations pending resolution of a dispute, subject to specific statutory procedures for contesting liability.

#3 · Entry and Entry Summary Procedures

How does the entry process differ for merchandise arriving by different modes of transportation?

Answer

While the core entry and entry summary requirements under 19 CFR Parts 141 and 142 apply broadly, certain procedural details differ by mode, such as ISF 10+2 applying only to ocean cargo, and manifest and cargo release procedures for air, truck, and rail having their own specific regulatory provisions. Timeframes for filing entry documentation can also vary depending on mode and whether the shipment arrives via a land border versus a seaport or airport. Brokers must be familiar with mode-specific requirements in addition to the general entry rules.

#4 · Entry and Entry Summary Procedures

How long can merchandise generally remain in in-bond status?

Answer

Merchandise transported in-bond must generally be entered or exported within the time limits established for the specific type of in-bond movement, and carriers are responsible for timely delivery. In-bond shipments not properly closed out can trigger liquidated damages against the carrier's bond. CBP tracks in-bond movements electronically through ACE.

#5 · Entry and Entry Summary Procedures

How long does an importer have to file entry after the merchandise arrives?

Answer

Entry must generally be filed within 15 calendar days of the date the merchandise arrives within the port limits, under 19 CFR Part 141. Because these are calendar days, weekends and holidays count.

#6 · Entry and Entry Summary Procedures

How long does an importer have to file the entry summary and deposit estimated duties?

Answer

The entry summary and the deposit of estimated duties must generally be filed within 10 working days after entry is filed and the merchandise is released, under 19 CFR Part 141. These are working days, meaning business days, which deliberately contrasts with the calendar-day rule for filing entry.

#7 · Entry and Entry Summary Procedures

How long is a power of attorney generally valid?

Answer

A power of attorney granted to a customs broker remains valid until revoked, or for corporations, may be limited to two years if signed by a resident partner, officer, or agent under certain circumstances specified in 19 CFR 141.34. Importers can revoke a power of attorney at any time by providing written notice to the broker. Brokers should retain powers of attorney as part of their required recordkeeping.

#8 · Entry and Entry Summary Procedures

How long may merchandise remain in a bonded warehouse?

Answer

Merchandise may generally remain in a bonded warehouse for up to five years from the date of importation, under 19 USC 1557. If not withdrawn for consumption, exportation, or transfer within that period, the merchandise is considered unclaimed and may be subject to general order procedures. This five-year period allows importers flexibility in timing duty payment or re-export decisions.

#9 · Entry and Entry Summary Procedures

How many days does an importer have to file the entry summary after release?

Answer

The entry summary (CBP Form 7501) and estimated duties must be filed within 10 working days after the merchandise is entered or released, whichever comes first. This deadline is set out in 19 CFR 142.11. Failure to file within this window can result in liquidated damages against the importer's bond.

#10 · Entry and Entry Summary Procedures

How many one-year extensions of liquidation can CBP take, and up to what total?

Answer

Under 19 USC 1504, CBP may extend the one-year liquidation period in one-year increments, but the total time before an entry is deemed liquidated by operation of law cannot exceed four years from the date of entry. Extensions are typically granted when CBP needs more information, when antidumping or countervailing duty proceedings are pending, or when the importer requests an extension. CBP must provide notice of each extension to the importer or the importer's broker.

#11 · Entry and Entry Summary Procedures

Name the 10 importer-side data elements in the ISF.

Answer

The 10 importer elements include: seller, buyer, importer of record number, consignee number, manufacturer or supplier, ship-to party, country of origin, commodity HTS number, container stuffing location, and consolidator (stuffer). These must be filed with CBP before lading, and the two carrier elements (vessel stow plan and container status messages) are filed separately.

#12 · Entry and Entry Summary Procedures

What are Partner Government Agencies (PGAs) in the entry process?

Answer

Partner Government Agencies are federal agencies other than CBP, such as the FDA, USDA, EPA, and Consumer Product Safety Commission, that have jurisdiction over certain imported goods and require additional data or approval before release. PGA data is transmitted electronically through ACE alongside the entry filing. CBP acts as the gatekeeper enforcing PGA admissibility requirements at the border on behalf of these agencies.

#13 · Entry and Entry Summary Procedures

What deadline applies for filing entry documents after arrival of merchandise?

Answer

Under 19 CFR 141.68, entry must generally be made within 15 calendar days after the merchandise arrives within the port limits, or general order procedures may apply. This is distinct from the 10-working-day deadline for filing the entry summary after release. Failure to enter goods within this period can result in the merchandise being sent to general order storage.

#14 · Entry and Entry Summary Procedures

What decisions of CBP are protestable under 19 USC 1514?

Answer

Protestable decisions include the appraised value of merchandise, the classification and rate of duty, the exclusion of merchandise from entry, the liquidation or reliquidation of an entry, and the refusal to pay a claim for drawback, among others. A protest must identify the specific decision being contested and the grounds for the protest. If a decision is not protestable, or the protest is untimely, CBP will deny the protest without reaching the merits.

#15 · Entry and Entry Summary Procedures

What happens if estimated duties are not paid within the required time?

Answer

If estimated duties are not deposited with the entry summary within the required 10 working days, CBP may issue a bill for the amount due and can assess interest on the unpaid balance. Repeated failure to timely deposit duties can result in the importer being placed on a periodic monthly statement removal or other compliance measures, and can trigger liquidated damages against the bond. Timely payment is essential to maintaining good standing with CBP.

#16 · Entry and Entry Summary Procedures

What happens to general order merchandise if it is not claimed within six months?

Answer

If general order merchandise is not entered or claimed within six months from the date of importation, CBP is authorized to sell the goods at public auction under 19 USC 1491 and 19 CFR Part 127. Proceeds from the sale are applied first to satisfy duties, taxes, and storage charges, with any remainder held for the importer. Perishable, hazardous, or otherwise unsuitable-for-storage merchandise may be disposed of sooner.

#17 · Entry and Entry Summary Procedures

What happens to merchandise that is not entered within the 15-calendar-day window?

Answer

Merchandise not entered within 15 calendar days of arrival, or otherwise unclaimed, becomes general order merchandise. It is taken into CBP custody at a bonded general order warehouse, and merchandise left unclaimed for an extended period can be sold at public auction with the proceeds applied first against unpaid duties, taxes, storage, and other charges.

#18 · Entry and Entry Summary Procedures

What happens when merchandise is entered but later found to be inadmissible?

Answer

If merchandise is found inadmissible after entry, due to failure to meet a partner government agency requirement, improper marking, or other legal restriction, CBP may issue a Notice to Redeliver requiring the goods to be returned to CBP custody, or may require exportation or destruction of the merchandise. Failure to comply can lead to liquidated damages against the bond or, in serious cases, seizure. The importer generally bears the cost of any required redelivery, storage, or disposal.

#19 · Entry and Entry Summary Procedures

What information must appear on CBP Form 3461?

Answer

CBP Form 3461 requires information such as the entry number, importer of record number, port code, bill of lading or airway bill number, importing carrier, manufacturer identification code, country of origin, and a description sufficient to identify the merchandise for release purposes. It does not require full classification or duty calculation, which is reserved for the entry summary. This form is what CBP reviews to decide whether to release cargo, hold it for examination, or refer it to another government agency.

#20 · Entry and Entry Summary Procedures

What is 19 USC 1520(c) relief, historically, and how has it changed?

Answer

Historically, 19 USC 1520(c) allowed CBP to reliquidate an entry to correct a clerical error, mistake of fact, or inadvertence discovered within one year of liquidation, even without a timely protest, though this provision was later repealed by the Miscellaneous Trade and Technical Corrections Act of 2004. Today, correcting most errors after liquidation generally requires a timely protest under 19 USC 1514. Brokers should be aware that the 1520(c) remedy is largely no longer available for entries liquidated after the repeal took effect.

#21 · Entry and Entry Summary Procedures

What is a bonded warehouse and what are its classes?

Answer

A bonded warehouse is a secure facility approved by CBP where imported merchandise can be stored, manipulated, or manufactured without payment of duty until the goods are withdrawn. CBP recognizes eleven classes of bonded warehouses under 19 CFR Part 19: Class 1 through Class 11, including storage, manufacturing, smelting and refining, and general order classes. Class 5 covers grain storage, Class 6 covers manufacturing in bond, Class 8 covers cleaning, sorting, repacking, or otherwise changing condition but not manufacturing, Class 10 is reserved and unused, and Class 11 is the general order warehouse class. Operators must obtain a permit and meet the bonding requirements that apply to their operations.

#22 · Entry and Entry Summary Procedures

What is a CBP Form 28?

Answer

CBP Form 28 is a Request for Information, issued by CBP to an importer to obtain additional documentation or clarification needed to properly process, classify, or value an entry, often before liquidation. A timely and complete response can help avoid a CBP Form 29 Notice of Action proposing a rate advance or other adverse change. Importers and brokers should respond within the time specified, typically 30 days, to preserve their rights.

#23 · Entry and Entry Summary Procedures

What is a CBP Form 29?

Answer

CBP Form 29 is a Notice of Action, used by CBP to inform an importer of a proposed or final change to the entry, such as a rate advance, reclassification, or revaluation, along with the reasons for the change. A proposed notice generally gives the importer an opportunity to respond before the action becomes final. If the importer disagrees with a final Notice of Action after liquidation, the remedy is to file a protest under 19 USC 1514.

#24 · Entry and Entry Summary Procedures

What is a Certificate of Delivery or Certificate of Manufacture and Delivery used for in relation to entry and drawback?

Answer

A Certificate of Delivery or Certificate of Manufacture and Delivery is a supporting document used to transfer the right to claim drawback from an importer to a subsequent party who exports or uses the merchandise, when that party was not the original importer of record. These certificates help establish the chain of custody needed to support a drawback claim tied back to the original entry. They are retained as part of the required drawback recordkeeping.

#25 · Entry and Entry Summary Procedures

What is a certified weigher or gauger's role in the entry process?

Answer

A certified weigher or gauger is an entity accredited by CBP to perform official weighing or gauging of bulk or other commodities where quantity determination affects duty assessment, such as certain agricultural or petroleum products. These certified measurements are used on the entry summary to establish the dutiable quantity. Accreditation and oversight of weighers and gaugers are covered under 19 CFR Part 151.

#26 · Entry and Entry Summary Procedures

What is a consumption entry?

Answer

A consumption entry is the most common entry type, used when merchandise is imported for use, sale, or consumption in the United States commerce. It requires the filer to declare classification, value, and pay applicable duties, taxes, and fees. Entry type code 01 is used for consumption entries under normal duty rates.

#27 · Entry and Entry Summary Procedures

What is a Continuous Bond?

Answer

A Continuous Bond covers all of an importer's entries over a one-year period and automatically renews unless terminated by the importer or the surety. Continuous bonds are typically set at a minimum of 50,000 dollars or 10 percent of duties, taxes, and fees paid in the prior year, whichever is greater. Most regular importers use continuous bonds because they are more cost-effective than obtaining a new bond for every shipment.

#28 · Entry and Entry Summary Procedures

What is a drawback claim in relation to entry?

Answer

Drawback is a refund of certain duties, taxes, and fees paid on imported merchandise that is subsequently exported or destroyed, or used in the manufacture of an exported article, authorized under 19 USC 1313. Drawback claims are filed electronically in ACE and reference the underlying import entries. TFTEA modernized drawback in 2016, generally allowing claims to be filed up to five years from the date of importation.

#29 · Entry and Entry Summary Procedures

What is a Duty-Free Entry for personal exemptions distinguished from commercial entries?

Answer

Personal exemptions, such as those available to returning residents under Chapter 98 and 19 CFR Part 148, allow individuals to bring goods into the United States duty-free up to certain dollar or quantity limits for personal, noncommercial use. Commercial entries, by contrast, are governed by the standard entry and entry summary procedures under 19 CFR Part 141 and 142 regardless of value once a commercial nature is established. The distinction matters because personal exemptions are not generally available to importers acting in a business or trade capacity.

#30 · Entry and Entry Summary Procedures

What is a Foreign Trade Zone (FTZ) entry?

Answer

A Foreign Trade Zone is a designated site where merchandise can be stored, manipulated, manufactured, or assembled without being subject to U.S. Customs duty until it enters U.S. commerce. The zone admission itself is requested on CBP Form 214; entry type 06 is the Foreign Trade Zone consumption entry used when merchandise is withdrawn from the zone for consumption in the customs territory. Foreign Trade Zones operate under the Foreign Trade Zones Act of 1934 and are regulated in 19 CFR Part 146. Duty is assessed, and often at a more favorable rate, when goods leave the zone for domestic consumption.

#31 · Entry and Entry Summary Procedures

What is a formal entry?

Answer

A formal entry is generally required for commercial shipments valued over 2,500 dollars and requires a CBP bond, detailed classification, valuation, and compliance with applicable partner government agency requirements. Formal entries are subject to the full entry and entry summary process under 19 CFR Part 142. Certain commodities, such as textiles, may require formal entry regardless of value.

#32 · Entry and Entry Summary Procedures

What is a Line Release or similar expedited cargo processing program used for?

Answer

Expedited processing programs allow qualifying, low-risk, repetitive shipments to be released more quickly by using pre-established data on file with CBP, reducing the need to resubmit full documentation for every shipment. These programs are often used at land border crossings for high-volume, regular importers. They complement, but do not replace, the underlying entry and entry summary filing requirements.

#33 · Entry and Entry Summary Procedures

What is a live entry?

Answer

A live entry requires the importer or broker to file the complete entry summary, including classification, value, and payment of estimated duties, at the same time as the entry documentation, rather than allowing the standard 10 working day period to file the summary afterward. Live entry is required for certain commodities, such as those subject to antidumping or countervailing duty orders, or at the discretion of the port director. This ensures duty liability and admissibility issues are resolved before release.

#34 · Entry and Entry Summary Procedures

What is a Manufacturer Identification Number (MID)?

Answer

A Manufacturer Identification Number is a code derived from the name and address of the foreign manufacturer or shipper, constructed according to a formula in 19 CFR 102.0 and CBP guidance, and is required on entry documentation to identify the source of the merchandise. The MID helps CBP with targeting, statistical reporting, and enforcement of trade remedies such as antidumping duties. An incorrect MID can cause entry rejection or delay.

#35 · Entry and Entry Summary Procedures

What is a Notice to Redeliver, and what does it require?

Answer

A Notice to Redeliver is issued by CBP demanding the return of merchandise that was conditionally released but later found to violate a legal requirement, such as improper marking, failure to meet PGA requirements, or other admissibility issues. Failure to redeliver the merchandise within the specified time can result in liquidated damages up to the full value of the merchandise under the bond. Redelivery notices are typically issued within 30 days of the CBP determination that redelivery is required, though timeframes can vary.

#36 · Entry and Entry Summary Procedures

What is a Periodic Monthly Statement (PMS)?

Answer

A Periodic Monthly Statement allows importers to consolidate payment of estimated duties, taxes, and fees for multiple entry summaries filed during a calendar month into a single payment due on a set statement date, typically the 15th business day of the following month. PMS is processed through ACE and offers importers cash flow benefits compared to paying duties entry by entry. Participation requires enrollment and use of Automated Clearing House payment.

#37 · Entry and Entry Summary Procedures

What is a Post Summary Correction (PSC)?

Answer

A Post Summary Correction is an electronic filing in ACE that allows an importer or broker to correct entry summary data, such as classification or value, after the entry summary has been filed but before liquidation. PSCs replace the older Post Entry Amendment process and can be used to request either a refund or to pay additional duties owed. PSCs must generally be filed prior to, or up to 15 days before, the scheduled liquidation date.

#38 · Entry and Entry Summary Procedures

What is a prior disclosure under 19 USC 1592?

Answer

A prior disclosure is a voluntary written statement made by an importer to CBP disclosing the circumstances of a violation of the customs laws, such as an undervaluation or misclassification, before CBP has begun a formal investigation of the violation. A valid prior disclosure limits the importer's monetary penalty exposure to the interest on unpaid duties (for negligence or gross negligence) rather than the full penalty otherwise authorized under 19 USC 1592. Prior disclosures must be made before CBP has commenced a formal investigation and before the importer had notice that CBP was aware of the violation.

#39 · Entry and Entry Summary Procedures

What is a protest under 19 USC 1514?

Answer

A protest is the formal administrative mechanism by which an importer challenges a CBP decision, such as classification, valuation, rate of duty, or exclusion of merchandise, after liquidation. Protests must generally be filed within 180 days after the date of liquidation under 19 USC 1514(c)(3). Protests are filed on CBP Form 19 and are decided by the port director or another designated CBP official.

#40 · Entry and Entry Summary Procedures

What is a Single Transaction Bond (STB)?

Answer

A Single Transaction Bond is a bond that covers only one specific entry or transaction, as opposed to a continuous bond, which covers all entries made by an importer over a one-year period. STBs are often used by importers who make infrequent shipments or by entries requiring additional bond coverage beyond a continuous bond amount. The bond amount for an STB is typically set at three times the entered value, or higher for certain regulated commodities.

#41 · Entry and Entry Summary Procedures

What is a Special Program Indicator (SPI) on an entry summary?

Answer

A Special Program Indicator, or SPI, is a code entered on CBP Form 7501 to identify merchandise claimed under a special duty program, such as a free trade agreement or a preference program like the Generalized System of Preferences. The SPI is placed with the HTS number to signal the applicable preferential or reduced rate of duty. A USMCA claim uses an SPI on an ordinary consumption entry, not a separate preference entry type. Using an incorrect or unsupported SPI can lead to penalties for false claims of preference.

#42 · Entry and Entry Summary Procedures

What is a Temporary Importation under Bond (TIB)?

Answer

A Temporary Importation under Bond, entry type 23, allows merchandise to enter the United States duty-free for a limited time, generally for repair, exhibition, testing, or similar purposes, provided it is exported or destroyed within one year, extendable up to three years total. It is authorized under 19 USC 1202, Chapter 98, Subchapter XIII. The importer posts a bond for double the estimated duties as security for timely exportation.

#43 · Entry and Entry Summary Procedures

What is a Transportation and Exportation (T&E) entry?

Answer

A Transportation and Exportation entry permits merchandise to move in-bond from the port of arrival through the United States to a port of exportation without payment of duty, when the goods are ultimately destined for a foreign country. This entry type is often used for cargo moving through the U.S. to Canada or Mexico. No duties are owed because the merchandise never enters U.S. commerce.

#44 · Entry and Entry Summary Procedures

What is a Vessel Repair Entry?

Answer

A Vessel Repair Entry, entry type 23 in some contexts or a specialized declaration under 19 USC 1466, applies to equipment, repairs, or materials purchased or obtained for a U.S.-flag vessel in a foreign port, which may be subject to a 50 percent ad valorem duty on the cost of such repairs. This is a specialized entry category distinct from standard merchandise entries. Vessel owners or their agents must declare qualifying foreign repairs upon the vessel's return to the United States.

#45 · Entry and Entry Summary Procedures

What is a warehouse entry?

Answer

A warehouse entry, entry type 21, allows merchandise to be placed into a bonded warehouse without payment of duty at the time of entry. Duty is deferred until the goods are withdrawn for consumption, and goods may generally remain in the warehouse up to five years from the date of importation under 19 USC 1557. This entry type is useful for importers who want to defer duty payment or re-export goods without ever paying duty.

#46 · Entry and Entry Summary Procedures

What is Accelerated Disposition of a protest?

Answer

Accelerated Disposition allows an importer to request that CBP decide a protest within 30 days of the request, and if CBP fails to act within that period, the protest is deemed denied by operation of law, allowing the importer to proceed to litigate at the Court of International Trade. This procedure is available under 19 CFR 174.22. It is a tool importers use to avoid indefinite delay in obtaining a decision on a protest.

#47 · Entry and Entry Summary Procedures

What is ACE?

Answer

ACE stands for the Automated Commercial Environment, the primary system used by CBP and the trade community to process imports and exports electronically. ACE is the single window through which importers, brokers, and other government agencies transmit and access trade data. Nearly all entry types and entry summaries today are filed electronically through ACE.

#48 · Entry and Entry Summary Procedures

What is ACE and why does it matter to a broker?

Answer

ACE is the Automated Commercial Environment, CBP's single window system through which importers, brokers, and other agencies electronically process import and export data. It replaced the older Automated Commercial System and is mandated for entry summary filing across virtually all entry types. Brokers use it both to file and to monitor entry status, liquidation status, and bond sufficiency.

#49 · Entry and Entry Summary Procedures

What is an Immediate Transportation entry used for?

Answer

An Immediate Transportation entry moves merchandise under bond from the port of arrival to another port, where formal entry will be filed later. It is one of the transportation entry types used when the importer's business or storage location sits away from the port of first arrival.

#50 · Entry and Entry Summary Procedures

What is an Immediate Transportation (IT) entry?

Answer

An Immediate Transportation entry allows merchandise arriving at one port to be transported in-bond to another port of entry where the formal entry will actually be filed. The merchandise is not appraised or classified at the port of arrival. This entry type is commonly used when goods must be delivered to an inland port closer to the importer's facility.

#51 · Entry and Entry Summary Procedures

What is an in-bond movement?

Answer

An in-bond movement is the movement of merchandise under bond, with duties not yet paid, from the port where it arrived to another CBP-designated location, such as a bonded warehouse or a foreign trade zone.

#52 · Entry and Entry Summary Procedures

What is an informal entry and what is its dollar threshold?

Answer

An informal entry is a simplified entry procedure generally used for shipments valued at 2,500 dollars or less, though certain commodities have different thresholds. Informal entries require less documentation than formal entries and do not require a surety bond in most cases. CBP officers may also elect to process higher-value shipments as informal entries at their discretion under 19 CFR 143.21.

#53 · Entry and Entry Summary Procedures

What is CBP Form 3461 used for?

Answer

CBP Form 3461 is the Entry/Immediate Delivery form used to request release of merchandise from CBP custody before the entry summary is filed. It allows the importer or broker to obtain physical release of goods while the full entry summary documentation and duty payment follow later. It is filed under 19 CFR 142.3 and is the standard release document for most consumption entries filed through ACE.

#54 · Entry and Entry Summary Procedures

What is CBP Form 7501?

Answer

CBP Form 7501 is the Entry Summary, the document that declares the final classification, value, and duty owed on imported merchandise. It is filed to finalize the entry after release and serves as the basis for duty collection and statistical reporting. Under 19 CFR 142.11, the entry summary must be filed and estimated duties deposited within 10 working days of the entry of merchandise.

#55 · Entry and Entry Summary Procedures

What is CBP Form 7501 and what does it declare?

Answer

CBP Form 7501 is the entry summary. It declares the tariff classification under the Harmonized Tariff Schedule, the country of origin, the value for duty purposes, the applicable rate of duty, any preferential trade program claimed, and the total estimated duties, taxes, and fees owed. It is also the vehicle through which the importer pays estimated duties.

#56 · Entry and Entry Summary Procedures

What is deemed liquidation?

Answer

Deemed liquidation happens when CBP does not liquidate an entry within the statutory period, which is one year from the date of entry under 19 USC 1504(a)(1) and 19 CFR 159.11(a). There is no 314-day rule. If CBP takes no action and no valid extension applies, the entry is deemed liquidated by operation of law at the rate, value, and classification the importer asserted at entry. This rule gives importers certainty that a transaction will not stay open indefinitely.

#57 · Entry and Entry Summary Procedures

What is Further Review of a protest?

Answer

Further Review is a request, made at the time of filing a protest using CBP Form 19, asking CBP Headquarters or a higher authority to review a protest decision rather than having it decided solely at the port level, typically because the issue involves a matter of first impression or conflicts with an existing CBP ruling. Further Review is governed by 19 CFR 174.24 and 174.25. It is used when the importer believes the port's initial decision may not adequately consider a legal or policy issue.

#58 · Entry and Entry Summary Procedures

What is general order (G.O.) merchandise?

Answer

General order merchandise is cargo that has not been entered within the time allowed by law, typically 15 calendar days after arrival, and is placed into the custody of a bonded general order warehouse. The importer remains responsible for storage, handling, and any applicable duties. If not entered and claimed within six months from the date of importation, the merchandise may be sold at public auction under 19 USC 1491.

#59 · Entry and Entry Summary Procedures

What is Immediate Exportation (IE)?

Answer

Immediate Exportation is an entry procedure used when merchandise arrives at a U.S. port and is intended for prompt export without entering U.S. commerce, without first moving in-bond to another domestic port. It differs from T&E in that the exportation occurs from the same port of arrival. It is governed under 19 CFR Part 18 along with the other in-bond entry types.

#60 · Entry and Entry Summary Procedures

What is in-bond movement?

Answer

In-bond movement allows merchandise to move under bond from one port to another, or from the port of arrival to a bonded warehouse or foreign trade zone, without formal entry or payment of duty at the port of arrival. Common in-bond entry types include Immediate Transportation (IT), Transportation and Exportation (T&E), and Immediate Exportation (IE). These movements are governed by 19 CFR Part 18 and must be reported in ACE.

#61 · Entry and Entry Summary Procedures

What is liquidation of an entry?

Answer

Liquidation is the final computation or ascertainment of duties, taxes, and fees owed on an entry, marking the point at which CBP's assessment becomes final absent a timely protest or other legal challenge. Liquidation is governed by 19 USC 1500 and 19 CFR Part 159. Once an entry liquidates, the importer's ability to change classification or value generally ends except through a protest.

#62 · Entry and Entry Summary Procedures

What is Merchandise Processing Fee (MPF)?

Answer

The Merchandise Processing Fee is an ad valorem fee, generally 0.3464 percent of the entered value for formal entries, subject to statutory minimum and maximum amounts, assessed to fund CBP's processing of commercial entries. Informal entries are assessed a flat MPF amount instead of the ad valorem rate. MPF is collected on the entry summary along with duties and other applicable fees.

#63 · Entry and Entry Summary Procedures

What is Reconciliation in the ACE system?

Answer

Reconciliation is an electronic program that allows importers to file entry summaries using estimated information for certain elements, such as value, classification, or free trade agreement eligibility, and later file a Reconciliation entry to provide the final, corrected data. It is authorized under 19 USC 1401 and 19 CFR Part 163, and is particularly useful for related-party transactions where final transfer prices are not known at entry. Reconciliation entries must generally be filed within 21 months of the underlying entry summary date.

#64 · Entry and Entry Summary Procedures

What is responsible supervision and control?

Answer

Responsible supervision and control is the standard imposed on licensed customs brokers under 19 CFR 111.1 and 111.28, requiring brokers to actively oversee the customs business conducted by their employees and any unlicensed staff to ensure compliance with customs laws and regulations. Factors CBP considers include training, availability of the broker to employees, and review of transactions. Failure to exercise responsible supervision can result in license suspension or revocation.

#65 · Entry and Entry Summary Procedures

What is the 15-day rule for entry after arrival, and what triggers general order status?

Answer

Under 19 CFR 141.68 and related provisions, merchandise must generally be entered within 15 calendar days after arrival within the limits of a port; failure to do so causes the goods to be sent to a general order warehouse at the risk and expense of the importer. This rule ensures cargo does not remain indefinitely uncleared at the port and creates an incentive for importers to file timely entries. Certain circumstances, such as perishable or live merchandise, may trigger a shorter timeframe for disposition.

#66 · Entry and Entry Summary Procedures

What is the (a)(1)(A) list in customs recordkeeping?

Answer

The (a)(1)(A) list, published by CBP pursuant to 19 USC 1508(c)(1), identifies the specific categories of records that must be maintained by importers, brokers, and other parties engaged in customs business, such as entry documents, invoices, and records of merchandise. Failure to produce records on this list when demanded can result in monetary penalties under 19 USC 1509. The list is periodically updated by CBP through Federal Register notice.

#67 · Entry and Entry Summary Procedures

What is the deadline for filing a Post Summary Correction?

Answer

A Post Summary Correction must generally be filed no later than 15 calendar days before the scheduled liquidation date of the entry summary, in accordance with CBP's ACE PSC guidance. Once liquidation occurs, the importer's remedy shifts from PSC to filing a protest under 19 USC 1514, provided the protest is timely. This timing rule is why importers must monitor scheduled liquidation dates closely.

#68 · Entry and Entry Summary Procedures

What is the deemed liquidation rule for entries?

Answer

Under 19 USC 1504(a)(1) and 19 CFR 159.11(a), most entries must be liquidated within one year of the date of entry. There is no 314-day rule, and practitioners should not rely on any shortened period. If CBP does not liquidate and no valid extension applies, the entry is deemed liquidated by operation of law at the rate, value, and classification the importer asserted at entry. CBP may extend the one-year period for specified reasons, such as a pending antidumping or countervailing duty proceeding, a protest, or a request for information.

#69 · Entry and Entry Summary Procedures

What is the difference between an entry filed under a single entry bond and one filed under a continuous bond in terms of importer obligations?

Answer

Under either bond type, the importer's underlying legal obligations to file a timely and accurate entry summary and pay duties remain the same, but the bond determines the source and amount of financial security backing those obligations for a given entry or set of entries. A continuous bond covers unlimited entries during its term up to the bond's activity limit, while a single transaction bond only secures one shipment. Importers with frequent shipments generally find a continuous bond more practical and cost-effective.

#70 · Entry and Entry Summary Procedures

What is the difference between arrival and entry?

Answer

Arrival happens when the vessel, aircraft, truck, or train physically reaches the United States and reports to CBP. Entry is a separate, formal legal act: the filing of documentation that declares what the merchandise is, who owns it, what it is worth, and what duty rate applies. Merchandise is not legally released for use until CBP authorizes release.

#71 · Entry and Entry Summary Procedures

What is the difference between entry and entry summary?

Answer

Entry refers to the documentation and process required to obtain release of merchandise from CBP custody, typically accomplished using CBP Form 3461. Entry summary refers to the subsequent filing, on CBP Form 7501, that provides the complete declaration of classification, value, and duty calculation and triggers payment of estimated duties. The two can be filed simultaneously in some cases, but the entry summary is what CBP uses to liquidate the entry.

#72 · Entry and Entry Summary Procedures

What is the difference between the port of unloading and the port of entry?

Answer

The port of unloading is the location where merchandise is physically discharged from the importing carrier, while the port of entry is the CBP port where the formal entry documentation is filed and processed, which may be the same location or a different one if the goods move in-bond. Both are reported separately on entry documentation. This distinction is important for tracking cargo movement and applying the correct local CBP procedures.

#73 · Entry and Entry Summary Procedures

What is the difference between the right to make entry and the right to make immediate delivery?

Answer

The right to make entry generally belongs to the owner or purchaser of the goods, or a party holding an endorsed bill of lading, or a licensed customs broker acting on their behalf, as defined in 19 CFR 141.11. Immediate delivery, requested via CBP Form 3461, is a privilege to obtain physical release of goods prior to full entry summary filing and is not automatically available for all entry types or importers. Certain importers must qualify for or specifically request immediate delivery privileges.

#74 · Entry and Entry Summary Procedures

What is the difference between unused merchandise drawback and manufacturing drawback?

Answer

Unused merchandise drawback applies when imported merchandise is exported or destroyed without being used in the United States, allowing recovery of up to 99 percent of duties paid. Manufacturing drawback applies when imported merchandise is used to manufacture or produce an article that is then exported, also allowing recovery of up to 99 percent of applicable duties. Both are authorized under 19 USC 1313 and were significantly streamlined by the Trade Facilitation and Trade Enforcement Act of 2016.

#75 · Entry and Entry Summary Procedures

What is the effect of filing an incomplete or inaccurate entry summary?

Answer

Filing an incomplete or inaccurate entry summary can result in CBP rejecting the filing, delaying liquidation, requesting additional information via CBP Form 28, or in cases of material inaccuracy, pursuing a penalty action under 19 USC 1592. Brokers have an obligation to exercise reasonable care in preparing entry summaries based on information reasonably available to them. Correcting errors before CBP identifies them, through a Post Summary Correction or prior disclosure, generally reduces exposure compared to CBP discovering the error independently.

#76 · Entry and Entry Summary Procedures

What is the effect of reliquidation on an entry?

Answer

Reliquidation is a correction to an entry's liquidation, which CBP may initiate on its own within 90 days of the original liquidation to correct a clerical error, mistake of fact, or other inadvertence not amounting to an error in the construction of law, under 19 USC 1520, or as a result of a granted protest. Once reliquidated, the new liquidation becomes the operative final determination, subject to its own protest rights if applicable. Reliquidation cannot generally be used to reopen a legal interpretation the importer failed to timely protest.

#77 · Entry and Entry Summary Procedures

What is the entry filer's responsibility regarding reasonable care?

Answer

Under 19 USC 1484, the importer of record is responsible for using reasonable care to enter, classify, and value merchandise, and to provide any other information necessary for CBP to properly assess duties, collect accurate statistics, and determine whether other applicable legal requirements are met. Reasonable care is a flexible standard evaluated based on the importer's experience, the complexity of the transaction, and reliance on qualified experts such as licensed customs brokers. Failure to exercise reasonable care can lead to penalties under 19 USC 1592.

#78 · Entry and Entry Summary Procedures

What is the entry summary's role in Section 232 or Section 301 duty assessments?

Answer

For merchandise subject to Section 232 (national security) or Section 301 (unfair trade practices) additional duties, the entry summary must include the applicable additional HTS classification numbers, generally found in Chapter 99, along with the standard classification, to ensure the correct additional duty is assessed. Filing without the required Chapter 99 number can result in underpayment of duty and subsequent CBP action. These trade remedy duties are collected in addition to normal ad valorem duty rates.

#79 · Entry and Entry Summary Procedures

What is the Harbor Maintenance Fee (HMF)?

Answer

The Harbor Maintenance Fee is an ad valorem fee of 0.125 percent of the value of commercial cargo imported through certain U.S. ports, used to fund harbor maintenance and dredging. It applies to shipments entering by vessel and is collected on the entry summary alongside duties and MPF. HMF does not apply to air or land shipments.

#80 · Entry and Entry Summary Procedures

What is the Importer Security Filing, and who files its elements?

Answer

The Importer Security Filing, also called ISF or 10+2, is the advance electronic security information CBP requires for cargo arriving by vessel. The importer or its agent files 10 data elements and the ocean carrier files 2 more, for a combined 12-element advance filing made before the cargo is laden.

#81 · Entry and Entry Summary Procedures

What is the Importer Security Filing, or ISF?

Answer

The Importer Security Filing, commonly called 10+2, requires importers to submit 10 data elements and carriers to submit 2 additional data elements before cargo is laden aboard a vessel destined for the United States. It applies to ocean cargo only, not air or land shipments, and is authorized under the SAFE Port Act of 2006. It must generally be filed no later than 24 hours before the cargo is loaded at the foreign port.

#82 · Entry and Entry Summary Procedures

What is the North American Free Trade Agreement's successor for preferential entry claims?

Answer

The United States-Mexico-Canada Agreement, or USMCA, entered into force on July 1, 2020 and replaced NAFTA. It provides preferential duty treatment for qualifying originating goods traded among the United States, Mexico, and Canada, supported by a certification of origin that may be completed by the importer, exporter, or producer. A USMCA preference claim is made on an ordinary consumption entry by reporting the special program claim indicator on the entry summary. It is not made by using a separate free trade agreement or preference entry type.

#83 · Entry and Entry Summary Procedures

What is the purpose of a bonded cartman or bonded carrier in the movement of entered or in-bond merchandise?

Answer

A bonded cartman or bonded carrier is a transportation company licensed and bonded by CBP to move merchandise, including in-bond shipments, general order merchandise, or goods under CBP supervision, between ports, warehouses, or other secure locations without loss of CBP custody or control. These carriers must comply with recordkeeping and reporting requirements under 19 CFR Part 112 and related provisions. Using an unbonded or unauthorized carrier for such movements can result in violations and penalties.

#84 · Entry and Entry Summary Procedures

What is the purpose of an entry number?

Answer

The entry number is a unique 11-character identifier assigned to each entry filed with CBP, consisting of a filer code, a serial number, and a check digit. It is used to track the entry throughout the entry, entry summary, and liquidation process, and appears on both CBP Form 3461 and CBP Form 7501. The entry number allows CBP, brokers, and importers to reference a specific transaction across all related documentation.

#85 · Entry and Entry Summary Procedures

What is the purpose of Census Warning messages during ACE filing?

Answer

Census Warning messages are automated system alerts generated during ACE entry summary transmission when the reported data, such as quantity or value, falls outside expected statistical parameters for the declared classification, prompting the filer to verify the accuracy of the data before or after submission. These warnings are informational and generally do not prevent filing, but they help catch potential data entry errors. Ignoring recurring Census Warnings without investigation could suggest a lack of reasonable care in entry preparation.

#86 · Entry and Entry Summary Procedures

What is the purpose of the entry filer code?

Answer

The entry filer code is a three or four character alphanumeric code assigned by CBP to each licensed customs broker or self-filing importer, used as part of the unique entry number to identify who filed a given entry. It allows CBP to track filing volume, performance, and compliance by filer. The filer code is a component embedded in the broader 11-digit entry number structure.

#87 · Entry and Entry Summary Procedures

What is the role of a licensed customs broker in entry filing?

Answer

A licensed customs broker is authorized under 19 USC 1641 to transact customs business on behalf of importers, including preparing and filing entries, entry summaries, and other required documentation with CBP. Brokers must exercise responsible supervision and control over their employees and agents who handle customs business. Only a licensed and permitted broker, or the importer itself, may file entries with CBP.

#88 · Entry and Entry Summary Procedures

What is the role of the entry summary in statistical reporting?

Answer

The entry summary, filed via CBP Form 7501, provides the detailed classification, quantity, and value data that CBP and the U.S. Census Bureau use to compile official import trade statistics. Accurate reporting of the 10-digit Harmonized Tariff Schedule number and quantity in the correct units of measure is essential for reliable statistics. Errors in statistical reporting can also trigger compliance scrutiny even if duty liability is unaffected.

#89 · Entry and Entry Summary Procedures

What is the role of the importer of record?

Answer

The importer of record is the party responsible for the declaration of merchandise entering the United States, including accurate classification, valuation, and payment of duties, taxes, and fees. The importer of record can be the owner, purchaser, or a licensed customs broker designated by the owner or purchaser under 19 CFR 141.11. The importer of record must possess a valid importer number, typically an IRS employer identification number or CBP-assigned number.

#90 · Entry and Entry Summary Procedures

What is the role of the surety in the entry process?

Answer

The surety is the company that issues the customs bond guaranteeing performance of the importer's obligations, including payment of duties, taxes, and fees, and compliance with other customs requirements. If the importer fails to meet its obligations, such as timely filing an entry summary or paying duties, CBP can make a claim against the bond, and the surety becomes liable up to the bond amount. Sureties are regulated and must be listed on the Treasury Department's approved list to issue federal bonds.

#91 · Entry and Entry Summary Procedures

What is the significance of 19 CFR 141.61 regarding entry summary content?

Answer

19 CFR 141.61 specifies the required content and completeness standards for entry summary documentation, including the necessity of a complete and accurate description, classification, and valuation of the merchandise. It establishes that the entry summary must be prepared with reasonable care and contain all information necessary for CBP to properly assess duty and collect statistics. This regulation underlies the day-to-day standards brokers must meet when preparing CBP Form 7501.

#92 · Entry and Entry Summary Procedures

What is the significance of Automated Clearing House (ACH) in duty payment?

Answer

The Automated Clearing House is an electronic payment method that allows importers and brokers to pay estimated duties, taxes, and fees directly from a bank account through ACE, rather than by check or other manual method. ACH payment is required for participation in Periodic Monthly Statement processing. Electronic payment methods like ACH have become the standard way duties are remitted to CBP in the modern entry process.

#93 · Entry and Entry Summary Procedures

What is the significance of country of origin marking on entry documentation?

Answer

Under 19 USC 1304, imported articles must generally be marked with their country of origin in a conspicuous, legible, and permanent manner to inform the ultimate purchaser, and the entry documentation must accurately reflect that origin. If goods reach liquidation improperly marked, 19 USC 1304(i) imposes an additional marking duty of 10 percent ad valorem, separate from any regular duty owed, unless the goods were exported, destroyed, or properly marked under CBP supervision before liquidation. Under 19 CFR 134.35(a), an imported article used in a US manufacturing process that results in a new article of commerce is excepted from marking, but the outermost containers in which the imported article arrived must still be marked with its foreign origin. Country of origin also affects duty rates, eligibility for trade preference programs, and the applicability of trade remedy orders.

#94 · Entry and Entry Summary Procedures

What is the significance of the 19 CFR Part 141 general provisions on entry?

Answer

19 CFR Part 141 sets out the general requirements for entry of merchandise, including who may make entry, the right to make entry, required documentation, and time limits for entry and entry summary filing. It establishes that entry may be made by the owner, purchaser, or a licensed customs broker with proper authorization. This part forms the regulatory backbone underlying most day-to-day entry filing procedures referenced throughout the CBLE.

#95 · Entry and Entry Summary Procedures

What is the significance of the date of entry for duty rate purposes?

Answer

The applicable rate of duty and other requirements are generally determined by the law in effect on the date of entry, or the date of withdrawal from warehouse for consumption if the goods were warehoused, under 19 USC 1505 and related provisions. This is important because tariff rates, quotas, and trade remedy orders can change over time. The date of entry therefore fixes which set of rules governs the transaction.

#96 · Entry and Entry Summary Procedures

What is the significance of the entered value on CBP Form 7501?

Answer

The entered value is the declared value of the imported merchandise used as the basis for calculating ad valorem duties, and it must be determined according to the valuation methods set out in 19 USC 1401a, generally starting with transaction value. An inaccurate entered value, whether too high or too low, can result in over or underpayment of duty and potential penalties under 19 USC 1592. The entered value appears on the entry summary alongside the applicable HTS classification and rate of duty.

#97 · Entry and Entry Summary Procedures

What is the significance of the entry type code on CBP Form 7501?

Answer

The entry type code is a two-digit number on CBP Form 7501 that identifies the specific kind of entry being filed. Code 01 is the ordinary consumption entry, 02 is consumption for quota or visa merchandise, 03 is consumption for antidumping and countervailing duty merchandise, 06 is a Foreign Trade Zone consumption entry, and 07 is consumption for quota plus antidumping and countervailing duty merchandise. There is no tariff-rate-quota entry type, and entry type 08 is not a free trade agreement or preference entry type. A free trade agreement claim, such as USMCA, is made by reporting the special program claim indicator on a consumption entry. Entry type 09 is the Reconciliation entry.

#98 · Entry and Entry Summary Procedures

What is the significance of the port of entry on the entry documents?

Answer

The port of entry identifies the specific CBP port where the merchandise is entered and where the entry and entry summary are filed and processed. Each port is assigned a unique port code used throughout ACE and on CBP forms. The port of entry may differ from the port of unloading if goods move in-bond to another location before formal entry.

#99 · Entry and Entry Summary Procedures

What is the time limit for filing a drawback claim under TFTEA?

Answer

Under the Trade Facilitation and Trade Enforcement Act of 2016, drawback claims must generally be filed within five years of the date of importation of the merchandise on which drawback is claimed. This replaced the prior, more fragmented set of deadlines that varied by drawback type. Claims are filed electronically through ACE.

#100 · Entry and Entry Summary Procedures

What is Transportation and Exportation?

Answer

Transportation and Exportation covers merchandise that is merely passing through the United States on its way to another country. It moves under bond and is never entered for consumption in the United States.

#101 · Entry and Entry Summary Procedures

What must a valid prior disclosure include?

Answer

A valid prior disclosure must identify the class or kind of merchandise involved, identify the entries affected, or a period of time if entries cannot be readily identified, disclose the specific facts and circumstances of the violation, and disclose (or offer to disclose) the actual loss of revenue, if any, within 30 days or a specified extension period. It must be made in writing to CBP. Once filed, the discloser typically has time to tender the actual loss of revenue to perfect the disclosure.

#102 · Entry and Entry Summary Procedures

What penalty applies for a late or inaccurate ISF filing?

Answer

CBP may assess liquidated damages of up to 5,000 dollars per violation for a late, inaccurate, or missing ISF filing. Each violation is treated separately, so multiple deficiencies on a single shipment can result in multiple penalties. CBP also has authority to withhold release or delivery of cargo for ISF non-compliance.

#103 · Entry and Entry Summary Procedures

What penalty framework applies under 19 USC 1592 for fraud versus negligence?

Answer

Under 19 USC 1592, penalties vary by culpability level: fraud can result in a penalty up to the domestic value of the merchandise, gross negligence up to four times the loss of revenue (or 40 percent of dutiable value if no revenue loss), and negligence up to two times the loss of revenue (or 20 percent of dutiable value if no revenue loss). A valid prior disclosure caps exposure at interest on any unpaid duties for negligence and gross negligence violations. Fraud cases are not eligible for the same reduced penalty treatment even with a prior disclosure, though the interest-only benefit for the duty portion may still apply in some circumstances.

#104 · Entry and Entry Summary Procedures

What recordkeeping period applies to entry-related records under the customs laws?

Answer

Under 19 USC 1508 and 19 CFR Part 163, importers and brokers must generally retain records related to an entry for five years from the date of entry, or in the case of drawback, five years from the date of payment of the claim. These records must be made available to CBP upon reasonable request for audit or verification purposes. Failure to produce required records can result in penalties under 19 USC 1509.

#105 · Entry and Entry Summary Procedures

What role does the bill of lading or airway bill play in the entry process?

Answer

The bill of lading or airway bill serves as evidence of the right to make entry and provides key shipment information, such as carrier, consignee, and cargo description, that is referenced on CBP Form 3461 to match the entry against the inward cargo manifest. CBP uses this document to verify that the party filing the entry has proper legal authority over the merchandise. An entry cannot generally be processed without the shipment being properly manifested and matched to the entry documentation.

#106 · Entry and Entry Summary Procedures

What triggers liquidated damages against a bond in the entry context?

Answer

Liquidated damages are a pre-set monetary amount, specified in the bond conditions, that CBP can assess against the principal and surety when a bonded obligation is breached, such as failing to file the entry summary within 10 working days or failing to redeliver merchandise demanded by CBP. Liquidated damages are not a punitive fine like a 19 USC 1592 penalty but a contractual remedy under the bond. CBP issues a formal notice, CBP Form 5955A, when assessing liquidated damages, and the importer can petition for mitigation.

#107 · Entry and Entry Summary Procedures

Where does an importer appeal after a protest is denied?

Answer

After a protest is denied, an importer may file a civil action to contest the denial at the U.S. Court of International Trade (CIT), generally within 180 days after the date of denial under 28 USC 2636(a). The importer must have paid all liquidated duties, taxes, and fees before commencing the action, per 28 USC 2637(a). The Court of International Trade has exclusive jurisdiction over most civil actions arising from CBP protest denials.

#108 · Entry and Entry Summary Procedures

Which CBP form requests release of merchandise before the entry summary is filed?

Answer

CBP Form 3461, the Entry or Immediate Delivery application, is the document used to request release of merchandise from CBP custody. Filing it, or its ACE equivalent, is what allows the goods to leave the port before the entry summary and duty payment follow.

#109 · Entry and Entry Summary Procedures

Which regulations cover informal entry, mail entry, and baggage?

Answer

The general entry regulations live in 19 CFR Part 141. Informal entry procedures are in 19 CFR Part 143, mail importations are in 19 CFR Part 145, and baggage is in 19 CFR Part 148. Part 143 is not the home of mail or baggage.

#110 · Entry and Entry Summary Procedures

Why might CBP require a live entry for antidumping or countervailing duty merchandise?

Answer

CBP often requires live entry for merchandise subject to antidumping or countervailing duty orders because the applicable cash deposit rate must be verified and collected at the time of entry to ensure adequate security against potential duty liability, which can be substantial and case-specific. Waiting the standard 10 days to file the entry summary could allow underpayment or evasion risk on high-duty merchandise. Filing live also allows CBP to catch scope or case number errors before the goods are released into commerce.

#111 · Tariff Classification and the HTSUS

Are the Explanatory Notes legally binding in the United States?

Answer

The Explanatory Notes are not legally binding in the United States, but they are generally indicative of the proper interpretation of the Harmonized System and are given considerable weight by CBP and the courts. They are consulted after GRI 1 and the section and chapter notes fail to fully resolve a classification question.

#112 · Tariff Classification and the HTSUS

At what digit level is the applicable duty rate determined?

Answer

The applicable duty rate is determined at the eight-digit level of the HTSUS, known as the tariff rate line. The ninth and tenth digits, the statistical suffix, are used solely for statistical reporting purposes and have no effect on the rate of duty owed.

#113 · Tariff Classification and the HTSUS

Can a binding ruling be relied upon by someone other than the requester?

Answer

A binding ruling is legally binding only as to the transaction and party for which it was issued, but any importer may use a published ruling covering substantially identical merchandise as persuasive guidance for classifying their own goods. Relying on someone else's ruling does not provide the same legal protection as obtaining one's own ruling for the specific transaction.

#114 · Tariff Classification and the HTSUS

Can a classifier rely on a competitor's or third party's binding ruling for their own identical merchandise?

Answer

A published ruling for substantially identical merchandise can be persuasive guidance and is a strong indicator of how CBP would likely classify similar goods, but it does not bind CBP with respect to a different importer's entries. For legal certainty on a specific transaction, the importer should request its own binding ruling.

#115 · Tariff Classification and the HTSUS

Can an eo nomine provision be limited by a use limitation elsewhere in the tariff?

Answer

Yes, even though an eo nomine provision names an article specifically, a section or chapter note or the heading language itself can impose a use limitation, meaning the article must actually be used for a stated purpose to qualify, effectively converting or limiting an otherwise name-based provision.

#116 · Tariff Classification and the HTSUS

Can classification skip GRI 1 and go directly to GRI 3?

Answer

No, the General Rules of Interpretation must be applied in sequential order, and GRI 1 must be exhausted, including all relevant section and chapter notes, before moving to GRI 2 or GRI 3. Only when GRI 1 fails to resolve the classification, or creates a conflict between two or more headings, does the classifier proceed to the subsequent rules.

#117 · Tariff Classification and the HTSUS

Define a use provision in tariff classification.

Answer

A use provision classifies merchandise according to the use to which it is put rather than by its specific name. Use provisions are further divided into principal use provisions, which look at the use of the class or kind of goods as a whole, and actual use provisions, which require proof of the individual item's actual use after importation.

#118 · Tariff Classification and the HTSUS

Define an eo nomine tariff provision.

Answer

An eo nomine provision describes an article by its specific name, such as bicycles or hammers, rather than by use or function. Absent contrary legislative intent, an eo nomine provision generally includes all forms of the named article, including improved forms, unless the improved form has a distinct name and use of its own.

#119 · Tariff Classification and the HTSUS

Does GRI 2(a) apply if the components require further manufacturing rather than mere assembly?

Answer

No, GRI 2(a) only applies to components that require simple assembly operations, such as fastening with screws or bolts. If the components require additional working or finishing operations, such as cutting, drilling, or machining, before the finished article results, GRI 2(a) does not apply to treat the unfinished parts as the complete article.

#120 · Tariff Classification and the HTSUS

Explain GRI 3(a), the rule of most specific description.

Answer

GRI 3(a) provides that the heading which provides the most specific description is preferred over headings providing a more general description. However, when two or more headings each refer to only part of the materials in a mixed or composite good, or to only part of the items in a set, those headings are regarded as equally specific. In that case, classification moves to GRI 3(b).

#121 · Tariff Classification and the HTSUS

Give an example of how GRI 3(b) is applied to a gift basket.

Answer

A gift basket containing wine, cheese, and crackers packaged together for a particular occasion would be examined under the three-part set test. If it qualifies as a set, the components are compared to determine which imparts the essential character, often based on which item drives the value, bulk, or the reason a consumer would buy the basket, and the whole set is classified under that heading.

#122 · Tariff Classification and the HTSUS

How are parts classified when a specific parts provision exists in a chapter?

Answer

When a section or chapter note or a heading specifically provides for parts of an article, that specific parts provision generally controls classification of the part over a more general residual parts heading. Chapter and section notes frequently address whether parts are classified with the parent article or under their own separate provision.

#123 · Tariff Classification and the HTSUS

How can CBP modify or revoke a binding ruling?

Answer

CBP may modify or revoke a binding ruling if it determines the ruling was in error or if circumstances have changed, but it must generally publish notice of the proposed action in the Customs Bulletin and allow a period for public comment before the modification or revocation takes effect. This process is required under 19 USC 1625(c) when the change would have a broad effect on the trade.

#124 · Tariff Classification and the HTSUS

How do CBP rulings treat kits containing components for multiple different finished articles?

Answer

CBP examines whether such kits meet the GRI 3(b) set criteria, namely different articles from different headings, put up together to meet a particular need or activity, and packaged for retail sale without repacking. If the kit fails any prong, for example if the components do not work together toward one activity, the kit is not treated as a set and each item may be classified separately.

#125 · Tariff Classification and the HTSUS

How do chapter notes interact with heading language under GRI 1?

Answer

GRI 1 requires that classification be determined according to the terms of the headings and any relative section or chapter notes, meaning the notes are consulted together with heading language as a single legal inquiry. A chapter note can expand, restrict, or entirely exclude goods from a heading even if the heading's plain language would otherwise seem to cover them.

#126 · Tariff Classification and the HTSUS

How does a chapter note defining 'parts' as excluding certain machines affect classification analysis order?

Answer

Such a note must be consulted at the GRI 1 stage, before any parts heading is applied, because it operates as a binding legal exclusion that redirects certain items to a different heading entirely, regardless of how naturally they might otherwise fit the description of a part within that chapter.

#127 · Tariff Classification and the HTSUS

How does a customs broker's classification duty relate to the reasonable care standard?

Answer

A licensed customs broker preparing entries must exercise the same reasonable care standard as the importer, using accepted classification methodology, consulting the section and chapter notes and GRIs properly, and seeking a binding ruling or expert guidance when classification is uncertain. Failure to do so can expose both the importer and the broker to penalties.

#128 · Tariff Classification and the HTSUS

How does GRI 3(a) treat two headings that each cover only part of a composite good?

Answer

GRI 3(a) provides that when two or more headings each refer only to part of the materials contained in mixed or composite goods, or to only part of the items in a set put up for retail sale, those headings are to be regarded as equally specific with respect to those goods, even if one of them gives a more complete or precise description. In that situation, classification moves on to GRI 3(b).

#129 · Tariff Classification and the HTSUS

How does 'principal function' differ conceptually from 'essential character'?

Answer

Principal function is a specific classification concept found in certain section and chapter notes, particularly Section XVI, used to classify composite or combination machines according to which machine performs the primary operational role. Essential character is the broader GRI 3(b) concept applied to mixtures, composite goods generally, and retail sets when no more specific note governs.

#130 · Tariff Classification and the HTSUS

How does the last rule of GRI 3(c) work in practice?

Answer

When goods are equally described under two competing headings and neither GRI 3(a) essential specificity nor GRI 3(b) essential character resolves the classification, GRI 3(c) directs classification under whichever competing heading appears numerically last in the tariff schedule. This is a mechanical tiebreaker used only as a last resort.

#131 · Tariff Classification and the HTSUS

How is the HTSUS organized structurally?

Answer

The HTSUS is organized into 22 sections, which are divided into 99 chapters. Each chapter is divided into headings, and headings are further divided into subheadings. This hierarchical structure moves from general categories at the section level to increasingly specific product descriptions at the subheading level.

#132 · Tariff Classification and the HTSUS

How many digits make up an HTSUS classification number?

Answer

A full HTSUS classification number has 10 digits. The first six digits are the international Harmonized System number, common to all countries that use the HS. The final four digits are US-specific, with digits seven and eight being the tariff rate line and digits nine and ten being the statistical suffix.

#133 · Tariff Classification and the HTSUS

How should a broker approach classifying a novel or new-to-market product?

Answer

A broker should research analogous rulings in CROSS, review the relevant section and chapter notes and Explanatory Notes, apply the GRIs sequentially, and if uncertainty remains, recommend the importer request a binding ruling from CBP's National Commodity Specialist Division before finalizing entries, to obtain legal certainty and avoid penalty exposure.

#134 · Tariff Classification and the HTSUS

Is value always the controlling factor in an essential character determination?

Answer

No, value is only one of several factors considered in an essential character analysis and is not automatically controlling. CBP and the courts weigh value alongside bulk, quantity, weight, and the functional role of each component, and in some cases a less valuable component that performs the primary function may be found to impart essential character.

#135 · Tariff Classification and the HTSUS

State General Rule of Interpretation 1 (GRI 1).

Answer

GRI 1 provides that classification is determined according to the terms of the headings and any relative section or chapter notes. Section and chapter titles are provided for ease of reference only and have no legal weight. GRI 1 is applied first, and if the heading terms and notes resolve classification, no further GRI need be consulted.

#136 · Tariff Classification and the HTSUS

What are 'goods put up in sets for retail sale' distinguished from mixtures?

Answer

A mixture involves combining substances or materials, such as a blend of two chemicals, addressed initially through GRI 2(b). A set for retail sale involves multiple distinct articles from different headings packaged together to meet a specific need, addressed under GRI 3(b) once the three set criteria are satisfied. Both are ultimately resolved through the essential character test if GRI 3(a) does not apply.

#137 · Tariff Classification and the HTSUS

What are the three duty rate columns shown in the HTSUS?

Answer

The HTSUS displays a General column, a Special column, and Column 2. The General rate applies to countries receiving normal trade relations status. The Special column shows preferential rates available under free trade agreements or preference programs, with program symbols indicating eligibility. Column 2 applies to countries such as Cuba and North Korea that do not receive normal trade relations status.

#138 · Tariff Classification and the HTSUS

What common law doctrine addresses whether an improved article stays within its original eo nomine provision?

Answer

Courts generally hold that an eo nomine designation, absent limiting language or contrary legislative intent, includes all forms of the named article, including subsequently developed or improved forms, unless the new form has become so different that it has acquired a distinct name, character, or use of its own.

#139 · Tariff Classification and the HTSUS

What database allows the public to search published CBP rulings?

Answer

The Customs Rulings Online Search System, known as CROSS, is CBP's public database that allows anyone to search for published binding rulings by keyword, HTS number, ruling number, or date. It is a key research tool for brokers and importers seeking guidance on how similar merchandise has previously been classified.

#140 · Tariff Classification and the HTSUS

What does 'akin' mean under GRI 4?

Answer

Under GRI 4, goods that cannot be classified by application of GRI 1 through 3 are classified under the heading appropriate to the goods to which they are most akin, meaning most similar in terms of description, purpose, character, and use. This rule is invoked only very rarely because GRI 1 through 3 resolve nearly every classification.

#141 · Tariff Classification and the HTSUS

What does GRI 2(b) address?

Answer

GRI 2(b) provides that any reference to a material or substance includes mixtures or combinations of that material with other materials. It also states that any reference to goods of a given material includes goods consisting wholly or partly of that material. When goods consist of more than one material, classification is determined according to GRI 3.

#142 · Tariff Classification and the HTSUS

What does GRI 4 provide?

Answer

GRI 4 states that goods which cannot be classified under GRI 1 through 3 are classified under the heading appropriate to the goods to which they are most akin. This is sometimes called the akin goods rule. It is rarely used in practice because GRI 1 through 3 resolve nearly all classification questions.

#143 · Tariff Classification and the HTSUS

What does GRI 5(a) provide about cases and containers?

Answer

GRI 5(a) provides that cases and containers specially shaped or fitted to contain a specific article or set of articles, suitable for long-term use, and presented with the articles they are intended to hold, are classified with those articles. This applies to items such as camera cases, musical instrument cases, and gun cases. It does not apply if the container gives the whole its essential character.

#144 · Tariff Classification and the HTSUS

What does GRI 5(b) provide about packing materials?

Answer

GRI 5(b) provides that packing materials and packing containers presented with the goods therein are classified with the goods if they are of a kind normally used for packing such goods. This rule does not apply when the packing materials or containers are clearly suitable for repetitive use, such as certain metal drums or reusable containers.

#145 · Tariff Classification and the HTSUS

What does HTSUS stand for?

Answer

HTSUS stands for the Harmonized Tariff Schedule of the United States. It is the primary source for determining tariff classifications for goods imported into the United States. It is based on the international Harmonized System maintained by the World Customs Organization, with US-specific statistical suffixes added.

#146 · Tariff Classification and the HTSUS

What does 'n.e.s.o.i.' mean in the HTSUS?

Answer

N.e.s.o.i. stands for 'not elsewhere specified or included' and is used to mark residual or basket tariff provisions that capture merchandise not more specifically described by another heading or subheading. It signals that this provision should only apply after all more specific classification options have been ruled out.

#147 · Tariff Classification and the HTSUS

What does the term 'prima facie classifiable' mean in the context of GRI 3?

Answer

Prima facie classifiable means that, on its face, a good appears to be properly described by two or more different headings under GRI 1 or GRI 2, creating a genuine conflict that must be resolved. GRI 3 only comes into play once this threshold condition of apparent dual or multiple classifiability has been established.

#148 · Tariff Classification and the HTSUS

What factors are considered in determining principal use under the Carborundum factors?

Answer

Courts commonly apply the Carborundum factors to determine principal use, which include the general physical characteristics of the merchandise, the expectation of the ultimate purchaser, the channels of trade in which the merchandise moves, the environment of sale, usage in the same manner as merchandise which defines the class, economic practicality of so using the import, and recognition in the trade of this use.

#149 · Tariff Classification and the HTSUS

What happens if CBP disagrees with the classification proposed in a binding ruling request?

Answer

CBP independently analyzes the merchandise and issues its own determination of the correct classification in the ruling letter, which may differ from the classification proposed by the requester. The ruling, once issued, is binding on CBP for future transactions matching the facts described, regardless of which classification the requester originally suggested.

#150 · Tariff Classification and the HTSUS

What happens when GRI 3(a) and 3(b) both fail to resolve classification?

Answer

GRI 3(c) then applies as the tiebreaker of last resort. It provides that the good is classified under the heading which occurs last in numerical order among those headings that equally merit consideration. This is a purely mechanical rule applied only after the more substantive tests have failed.

#151 · Tariff Classification and the HTSUS

What is 9801.00.10, US goods returned?

Answer

Subheading 9801.00.10 provides duty-free treatment for products of the United States that were exported and are being returned without having been advanced in value or improved in condition while abroad. This provision commonly applies to US-origin goods that were sent abroad and did not sell or were returned unaltered.

#152 · Tariff Classification and the HTSUS

What is a 'basket' or residual provision in the HTSUS?

Answer

A basket or residual provision is a tariff line, often containing language such as 'other' or 'not elsewhere specified or included,' that captures goods not more specifically described elsewhere within a heading or chapter. Classifiers should only use a basket provision after confirming that no more specific provision applies.

#153 · Tariff Classification and the HTSUS

What is a binding ruling under 19 CFR Part 177?

Answer

A binding ruling is a written decision issued by US Customs and Border Protection in response to a prospective importer's request, addressing questions such as tariff classification, country of origin, or marking requirements for a specific transaction. It is legally binding on CBP for the transaction described and provides the importer with certainty prior to importation.

#154 · Tariff Classification and the HTSUS

What is a composite good for classification purposes?

Answer

A composite good consists of two or more different components that are attached to each other to form a practically inseparable whole, or that are separable but adapted to each other and mutually complementary, and which together form a whole that would not normally be offered for sale in separate parts. Composite goods are classified under GRI 3(b) according to their essential character.

#155 · Tariff Classification and the HTSUS

What is a definitional chapter or section note?

Answer

A definitional note establishes the legal meaning of a term as it is used throughout a section or chapter, which may differ from the term's common commercial or dictionary meaning. These notes are binding for classification purposes and must be applied whenever the defined term appears within that section or chapter.

#156 · Tariff Classification and the HTSUS

What is a 'like article produced in the United States' test used for?

Answer

This phrase and similar language appears in certain use provisions and duty preference programs to compare an imported article to domestically produced goods of the same class or kind, helping determine tariff treatment, quota eligibility, or preference program qualification based on comparability to US production.

#157 · Tariff Classification and the HTSUS

What is a protest under 19 USC 1514 in relation to classification?

Answer

A protest is the formal administrative mechanism by which an importer challenges a CBP decision, including a classification decision made at liquidation, within 180 days of liquidation. It must be filed with the port that liquidated the entry and must set out the grounds for the importer's disagreement with CBP's determination.

#158 · Tariff Classification and the HTSUS

What is a set put up for retail sale under the GRIs?

Answer

For GRI 3(b) purposes, a set put up for retail sale must consist of at least two different articles classifiable in different headings, must consist of articles put up together to meet a particular need or carry out a specific activity, and must be put up in a manner suitable for sale directly to users without repacking. All three conditions must be met for the set rule to apply.

#159 · Tariff Classification and the HTSUS

What is a 'specially shaped or fitted' container under GRI 5(a)?

Answer

A specially shaped or fitted container is one manufactured or designed specifically to hold a particular article, such as a violin case molded to the shape of the instrument or a camera case fitted for a specific camera model, rather than a generic container that could hold many different items. Such containers, when imported with the article, are classified together with it.

#160 · Tariff Classification and the HTSUS

What is a statistical suffix in an HTSUS number?

Answer

The statistical suffix comprises the ninth and tenth digits of the ten-digit HTSUS classification number and is used by the US Census Bureau and other agencies to collect detailed import statistics. It does not affect the applicable duty rate, which is determined at the eight-digit tariff rate line level.

#161 · Tariff Classification and the HTSUS

What is Additional US Rule of Interpretation 1(a)?

Answer

Additional US Rule of Interpretation 1(a) addresses tariff classification controlled by use, providing that a principal use provision covers goods of a class or kind to which the imported good belongs, based on the use of that class or kind in the United States at or immediately prior to the date of importation. The controlling use is that of the class or kind as a whole, not the actual use of the particular imported item.

#162 · Tariff Classification and the HTSUS

What is Additional US Rule of Interpretation 1(b)?

Answer

Additional US Rule of Interpretation 1(b) addresses actual use provisions, providing that goods classifiable under an actual use provision must actually be used for the specified purpose, that such use must be intended at the time of importation, and that proof of the use must be furnished within three years after the date the goods are entered.

#163 · Tariff Classification and the HTSUS

What is an unassembled article under GRI 2(a)?

Answer

An unassembled article is one whose components are presented together but not yet joined, requiring only assembly operations such as bolting, riveting, or gluing rather than further working or finishing to become a complete article. GRI 2(a) treats such unassembled goods as classifiable in the same heading as the assembled version.

#164 · Tariff Classification and the HTSUS

What is Chapter 98 of the HTSUS used for?

Answer

Chapter 98 contains special classification provisions that provide duty-free or reduced-duty treatment for goods meeting specific conditions, such as US goods returned, articles for the blind or handicapped, and goods temporarily imported for repair. Chapter 98 provisions are typically claimed in addition to, not instead of, the underlying HTS classification, which is cross-referenced on the entry.

#165 · Tariff Classification and the HTSUS

What is Chapter 99 of the HTSUS used for?

Answer

Chapter 99 contains temporary legislative provisions, including additional duties such as Section 301 and Section 232 tariffs, and temporary duty suspensions or reductions enacted through Miscellaneous Tariff Bills. A Chapter 99 number is entered along with the underlying eight or ten-digit classification, not in place of it.

#166 · Tariff Classification and the HTSUS

What is Column 2 of the HTSUS duty rate schedule used for?

Answer

Column 2 contains the highest duty rates in the tariff schedule and applies only to imports from a small number of countries that do not enjoy normal trade relations status with the United States, historically including Cuba and North Korea. These rates are generally much higher than the General or Special column rates.

#167 · Tariff Classification and the HTSUS

What is meant by 'composite machine' in HTSUS Section and Chapter Notes, generally in Section XVI?

Answer

A composite machine consists of two or more machines fitted together to form a whole, and Section XVI notes generally direct that such a machine be classified according to the machine that performs the principal function, which resembles the essential character analysis but is a specific rule set out in the section notes rather than a GRI 3(b) analysis.

#168 · Tariff Classification and the HTSUS

What is meant by 'condition as imported' in classification analysis?

Answer

Classification is generally based on the condition of the merchandise at the time it is presented for entry into the United States, not on any use or alteration that might occur afterward, except where an actual use provision under Additional US Rule of Interpretation 1(b) specifically requires post-importation use as a condition of classification.

#169 · Tariff Classification and the HTSUS

What is meant by 'not suitable for repetitive use' under GRI 5(b)?

Answer

GRI 5(b) applies only to packing materials and containers that are of a kind normally used for one-time or limited packing of the goods, such as ordinary cardboard boxes or shrink wrap, and not to containers clearly designed for repeated reuse, such as certain reusable steel drums or gas cylinders, which must be separately classified.

#170 · Tariff Classification and the HTSUS

What is Section I of the HTSUS?

Answer

Section I covers live animals and animal products, spanning Chapters 1 through 5. It includes live animals, meat, fish, dairy, and other animal-origin products such as hides not otherwise specified. It is the first of 22 sections in the schedule.

#171 · Tariff Classification and the HTSUS

What is the difference between a binding ruling and internal advice?

Answer

A binding ruling is requested by the importing party before or at the time of a transaction and provides certainty going forward. Internal advice is requested by a CBP field office, often at the request of an importer or broker, to resolve a classification question that has already arisen on an entry, typically before liquidation.

#172 · Tariff Classification and the HTSUS

What is the difference between a heading and a subheading in HTSUS structure?

Answer

A heading is identified by the first four digits of the classification number and represents a broad category of goods within a chapter. A subheading is identified by the fifth and sixth digits, and further US subheadings by the seventh and eighth digits, and provides increasingly specific breakdowns of the products covered by the parent heading.

#173 · Tariff Classification and the HTSUS

What is the difference between a ruling request and a protest in terms of timing?

Answer

A binding ruling request is made prospectively, before the transaction takes place, to establish classification certainty in advance. A protest is filed retrospectively, after CBP has already liquidated an entry, to contest a classification or other decision CBP made on that specific past entry.

#174 · Tariff Classification and the HTSUS

What is the difference between classifying a good and determining its country of origin?

Answer

Classification determines what tariff number and duty rate applies to a good based on its physical and functional characteristics under the HTSUS. Country of origin determines where the good is considered to have been produced or substantially transformed, which affects applicable trade preferences, marking requirements, and additional duties such as antidumping orders, and is governed by separate legal rules.

#175 · Tariff Classification and the HTSUS

What is the difference between the HS number and the full HTSUS number?

Answer

The HS number is the first six digits of a classification and is internationally standardized among all World Customs Organization members. The full ten digit HTSUS number adds four US-specific digits for rate and statistical purposes. Only the first six digits are guaranteed to match another country's tariff schedule.

#176 · Tariff Classification and the HTSUS

What is the difference between the terms 'parts' and 'parts and accessories' in a heading?

Answer

A heading using only the word 'parts' generally limits its scope to components that are integral, constituent, and necessary to the function of the completed article. A heading that also includes 'accessories' broadens the scope to include items that facilitate, add to, or extend the use of the main article without necessarily being essential to its basic operation.

#177 · Tariff Classification and the HTSUS

What is the effect of a Section 301 duty listed in Chapter 99 on classification of the underlying good?

Answer

A Section 301 duty entered under a Chapter 99 provision does not change the underlying HTSUS classification of the merchandise itself. The importer must still classify the good under its proper eight or ten-digit HTSUS number and then separately report the applicable Chapter 99 number to reflect the additional duty, if the country of origin and product meet the criteria.

#178 · Tariff Classification and the HTSUS

What is the effect of an HTSUS 'see' cross-reference in a chapter note?

Answer

A cross-reference in a chapter note directs the classifier to consult another chapter or heading for goods that might seem to belong in the current chapter but are legally classified elsewhere, functioning as a binding instruction under GRI 1 rather than a mere suggestion.

#179 · Tariff Classification and the HTSUS

What is the essential character test under GRI 3(b)?

Answer

GRI 3(b) applies to mixtures, composite goods, and goods put up in sets for retail sale that cannot be classified under GRI 3(a). Such goods are classified as if they consisted of the material or component that gives them their essential character. Essential character is a factual determination based on factors such as bulk, quantity, weight, value, or the role of the material in relation to the use of the goods.

#180 · Tariff Classification and the HTSUS

What is the function of GRI 6?

Answer

GRI 6 provides that classification of goods within subheadings is determined according to the terms of the subheadings and any related subheading notes, applying GRI 1 through 5 *mutatis mutandis* at the subheading level. It also states that only subheadings at the same level are comparable. This allows the same interpretive rules used for headings to apply when choosing among subheadings.

#181 · Tariff Classification and the HTSUS

What is the General column duty rate?

Answer

The General column, sometimes called Column 1 General, contains the standard most favored nation duty rate applicable to imports from countries with normal trade relations status with the United States. It is the default rate applied when no special preference program applies to the merchandise.

#182 · Tariff Classification and the HTSUS

What is the general rule for classifying accessories?

Answer

Accessories are generally classified according to the specific tariff provisions that describe them, or, in the absence of a specific provision, under a heading for accessories of the article they accompany if one exists. Unlike parts, accessories are not necessarily essential to the function of the main article but facilitate or enhance its use.

#183 · Tariff Classification and the HTSUS

What is the general rule for classifying goods presented unassembled due to shipping or handling convenience?

Answer

Under GRI 2(a), goods presented unassembled or disassembled, including for reasons such as packing, handling, or transport convenience, are classified as though assembled, provided they have the essential character of the complete or finished article once assembled and only assembly operations, not further manufacture, remain.

#184 · Tariff Classification and the HTSUS

What is the general rule when common meaning and commercial meaning of a tariff term differ?

Answer

When there is a conflict, courts generally give greater weight to the commercial meaning of a term as understood in the trade at the time the tariff provision was enacted, provided the commercial meaning is shown to be definite, uniform, and general throughout the trade, rather than merely how one segment of the industry uses the term.

#185 · Tariff Classification and the HTSUS

What is the legal status of Section and Chapter Notes?

Answer

Section and Chapter Notes are legally binding and are part of the tariff schedule itself, unlike section and chapter titles. They can include or exclude specific goods from a section or chapter, define terms used within the section or chapter, and provide additional guidance on classification. They must be consulted before goods can be properly classified under GRI 1.

#186 · Tariff Classification and the HTSUS

What is the meaning of 'essential character' as used in GRI 3(b)?

Answer

Essential character is the attribute that most strongly determines the identity of a good, such that removing that component would fundamentally change what the good is or how it is used. It is determined case by case using factors such as bulk, quantity, weight, value, and the role each component plays in relation to the use of the finished good.

#187 · Tariff Classification and the HTSUS

What is the purpose of a 'not more specifically provided for' clause in a heading?

Answer

A 'not more specifically provided for' clause signals that the heading is intended to be residual with respect to the enumerated goods, meaning the classifier must first rule out any other heading that more specifically describes the merchandise before applying that particular provision.

#188 · Tariff Classification and the HTSUS

What is the purpose of Additional US Rules of Interpretation?

Answer

The Additional US Rules of Interpretation are US-specific interpretive rules that apply after the General Rules of Interpretation when classifying goods in the HTSUS. They address issues such as the distinction between actual use provisions and principal use provisions, and how to classify textile and apparel goods composed of two or more materials. They are unique to the US tariff schedule and are not part of the international Harmonized System.

#189 · Tariff Classification and the HTSUS

What is the reasonable care standard as it relates to classification?

Answer

Under the Customs Modernization Act, importers are required to exercise reasonable care in classifying and valuing merchandise and in supplying information necessary for CBP to determine the correct duty rate. This shifts significant compliance responsibility from CBP to the importer and their broker, who must use sound classification methodology and available resources such as binding rulings.

#190 · Tariff Classification and the HTSUS

What is the role of 'legal notes' compared to 'statistical notes' in the HTSUS?

Answer

Legal notes, including section and chapter notes, are binding and affect the actual classification determination under GRI 1. Statistical notes and statistical annotations relate only to reporting requirements for trade data collection and do not affect the classification or duty rate determination.

#191 · Tariff Classification and the HTSUS

What is the role of the Explanatory Notes in HTSUS classification?

Answer

The Explanatory Notes, published by the World Customs Organization, provide detailed guidance on the scope and meaning of headings and subheadings in the Harmonized System. Although not legally binding in the United States, courts and CBP treat the Explanatory Notes as persuasive authority and frequently consult them to interpret ambiguous heading language.

#192 · Tariff Classification and the HTSUS

What is the significance of the Court of International Trade in classification disputes?

Answer

The Court of International Trade, known as the CIT, has exclusive jurisdiction over civil actions challenging CBP classification decisions once administrative remedies, such as filing a protest, have been exhausted. Its decisions, along with those of the Court of Appeals for the Federal Circuit on appeal, form binding legal precedent on classification questions.

#193 · Tariff Classification and the HTSUS

What is the significance of the Federal Circuit's decision framework for classification cases?

Answer

The Court of Appeals for the Federal Circuit reviews Court of International Trade classification decisions and generally applies a two-step analysis, first determining the proper legal meaning of the tariff terms, then determining whether the merchandise at issue falls within that properly construed meaning. This framework guides how classification disputes are litigated.

#194 · Tariff Classification and the HTSUS

What is the significance of the term 'relative section or chapter notes' in GRI 1?

Answer

The word 'relative' in GRI 1 means only the notes that actually pertain to and govern the heading or goods in question need be consulted, not every note in the tariff schedule. This focuses the classifier's analysis on the specific legal notes that bear on the particular product being classified.

#195 · Tariff Classification and the HTSUS

What kind of chapter note commonly excludes goods from a chapter?

Answer

An exclusionary chapter note lists specific goods that, although they might otherwise seem to fall within the scope of the chapter's headings, are legally excluded and must be classified elsewhere in the tariff schedule, often directing the classifier to the correct alternate chapter or heading. Such notes are legally binding under GRI 1.

#196 · Tariff Classification and the HTSUS

What must a request for a binding ruling generally include?

Answer

A binding ruling request generally must include a complete description of the merchandise, its intended use, the material composition, samples or photographs if available, the requester's proposed classification with supporting rationale, and a statement confirming that the same or similar issue is not currently pending before CBP or in litigation.

#197 · Tariff Classification and the HTSUS

What role does the 'ejusdem generis' principle play in tariff classification?

Answer

Ejusdem generis, meaning 'of the same kind,' is a canon of interpretation applied by courts when a tariff provision lists specific items followed by a general or catch-all term, limiting that general term to items of the same class or character as those specifically enumerated, rather than allowing it to sweep in unrelated goods.

#198 · Tariff Classification and the HTSUS

What triggers the application of GRI 3?

Answer

GRI 3 applies whenever goods are prima facie classifiable under two or more headings, either because of GRI 2(b) or for any other reason. It provides a sequential three-part test, GRI 3(a), 3(b), and 3(c), to resolve the conflict and reach a single classification. Each part is applied only if the prior part fails to resolve the classification.

#199 · Tariff Classification and the HTSUS

When does GRI 5(a) NOT apply to a container?

Answer

GRI 5(a) does not apply, and the container must be separately classified, if the container gives the whole its essential character, or if the container is not of a kind normally sold with the article, or if the container is suitable for repetitive use independent of the article it was imported with.

#200 · Tariff Classification and the HTSUS

When is GRI 2(a) applied?

Answer

GRI 2(a) extends a heading that describes a complete article to also cover that article when imported incomplete or unfinished, provided it has the essential character of the complete article. It also extends coverage to an unassembled or disassembled complete or finished article. This addresses goods imported in parts or in an unfinished state.

#201 · Tariff Classification and the HTSUS

Which CBP office issues most binding classification rulings?

Answer

Most binding classification rulings are issued by the National Commodity Specialist Division, part of CBP's Office of Trade, located in New York. Certain rulings involving broader legal or policy questions may instead be issued by CBP Headquarters. Rulings are published and searchable in the Customs Rulings Online Search System, known as CROSS.

#202 · Tariff Classification and the HTSUS

Who can request a binding classification ruling?

Answer

Any importer, exporter, manufacturer, or other party with a direct and demonstrable interest in a transaction may request a binding ruling from CBP, or they may authorize an attorney or licensed customs broker to make the request on their behalf. The request must relate to a specific, actual prospective transaction rather than a hypothetical scenario.

#203 · Tariff Classification and the HTSUS

Why are chapter titles not legally binding for classification?

Answer

GRI 1 expressly states that section, chapter, and sub-chapter titles are provided for ease of reference only. Legal classification must instead be determined by the actual terms of the headings and any relative section or chapter notes. A product cannot be classified or excluded from a heading based solely on the chapter title's wording.

#204 · Tariff Classification and the HTSUS

Why do section notes sometimes provide a hierarchy for classifying parts, such as in Sections XVI and XVII?

Answer

Sections XVI and XVII contain specific legal notes establishing a hierarchy that first excludes certain parts that are themselves separately classifiable as complete articles elsewhere in the tariff, then directs remaining parts to their specific parts heading if one exists, and only then to a residual parts provision, ensuring a consistent and predictable approach across many different types of machinery and vehicles.

#205 · Tariff Classification and the HTSUS

Why is 'commercial designation' relevant to classification?

Answer

Commercial designation refers to how an article is known and bought and sold in the trade, and tariff terms are generally construed according to their common and commercial meaning rather than a scientific or technical definition, unless the tariff schedule or a section or chapter note provides its own specific definition that controls.

#206 · Tariff Classification and the HTSUS

Why is it important to review both the six-digit HS number and the full ten-digit HTSUS number when classifying for export markets?

Answer

Only the first six digits of the HTSUS number are internationally harmonized and will match the corresponding HS number used by the importing country's tariff schedule. The remaining four US-specific digits will not necessarily correspond to the destination country's own national tariff breakdown, so exporters must reclassify goods under the destination country's specific tariff schedule beyond the six-digit level.

#207 · Tariff Classification and the HTSUS

Why is proper classification important beyond determining the duty rate?

Answer

Correct HTSUS classification affects far more than the duty rate alone. It determines eligibility for free trade agreement preferences, whether antidumping or countervailing duty orders apply, whether other agency requirements such as FDA or EPA regulations are triggered, quota applicability, and the accuracy of trade statistics collected by the government.

#208 · Tariff Classification and the HTSUS

Why might identical products made of different materials fall under different chapters?

Answer

The HTSUS is often organized around material composition at the chapter level, for example distinguishing textile chapters from plastic chapters from metal chapters, so an otherwise identical article, such as a container or a toy, can be classified in an entirely different chapter depending on what material predominates or is specified by relevant chapter notes.

#209 · Tariff Classification and the HTSUS

Why must a classifier consider both the article's construction and its use when applying eo nomine and use provisions?

Answer

Because tariff headings differ in kind, an eo nomine provision focuses on what the article inherently is, based on physical identity and name, while a use provision focuses on what class of goods it belongs to based on function. Misapplying one analysis to a heading governed by the other type of provision leads to an incorrect classification result.

#210 · Tariff Classification and the HTSUS

Why must subheadings only be compared at the same level under GRI 6?

Answer

GRI 6 requires that only subheadings at the same indent level within a heading are comparable to each other. This prevents classifiers from skipping over an intermediate one-dash subheading and comparing two-dash subheadings that fall under different one-dash subheadings. Proper classification requires working through the indent structure level by level.

#211 · Valuation Appraisement and Duty Assessment

Are engineering and design assists performed in the US dutiable?

Answer

No. Engineering, development, artwork, design work, and plans and sketches are only treated as dutiable assists when they are undertaken elsewhere than in the United States. Engineering or design work performed within the United States is excluded from the assist calculation entirely.

#212 · Valuation Appraisement and Duty Assessment

Are packing costs incurred by the seller included in transaction value?

Answer

Packing costs are added as a statutory addition only when incurred by the buyer and not already included in the price actually paid or payable. If the seller incurs and absorbs the packing costs as part of its normal price to the buyer, those costs are typically already reflected in the invoice price and are not added separately.

#213 • Valuation Appraisement and Duty Assessment

Are US Customs duties and federal taxes themselves included in the dutiable value?

Answer

No. Customs duties and taxes imposed on the imported merchandise by reason of importation are not included in the transaction value used to calculate those same duties and taxes. Including them would create a circular calculation, so they are excluded from the appraised value base.

#214 • Valuation Appraisement and Duty Assessment

Can two importers using computed value for the same class of merchandise get different appraised values?

Answer

Yes. Computed value is built from the specific producer's own costs of materials, fabrication, assists, packing, and its own profit and general expense figures for that class or kind of merchandise, so appraised values can legitimately differ between producers even for similar merchandise, reflecting each producer's actual cost structure.

#215 · Valuation Appraisement and Duty Assessment

Define identical merchandise for valuation purposes

Answer

Identical merchandise is merchandise that is the same in all respects, including physical characteristics, quality, and reputation, produced in the same country as the merchandise being appraised, and produced by the same person who produced the merchandise being appraised, or by another producer if no identical merchandise from the original producer is available.

#216 · Valuation Appraisement and Duty Assessment

Define price actually paid or payable

Answer

The price actually paid or payable is the total payment made or to be made by the buyer to or for the benefit of the seller for the imported merchandise. It includes all payments made as a condition of sale, whether direct or indirect, and is not reduced by any rebate, discount, or other non-statutory deduction taken after the fact.

#217 · Valuation Appraisement and Duty Assessment

Define similar merchandise for valuation purposes

Answer

Similar merchandise is merchandise produced in the same country and by the same producer as the merchandise being appraised, which is like the merchandise in characteristics and component materials and is commercially interchangeable with it, even though not identical in all respects. Similar merchandise can also come from a different producer in the same country if none from the same producer exists.

#218 · Valuation Appraisement and Duty Assessment

Explain the test values method for related-party transactions

Answer

Under the test values method, the importer compares the declared transaction value against transaction values previously accepted by Customs for identical or similar merchandise sold to unrelated buyers at or about the same time. If the declared value closely approximates one of these test values, the related-party price is treated as acceptable and unaffected by the relationship.

#219 · Valuation Appraisement and Duty Assessment

Give a worked example calculating total landed duty: entered value \$12,500, ad valorem rate 4.2 percent, plus a merchandise processing fee of 0.3464 percent. What is the total duty and MPF combined?

Answer

Calculate each charge separately. Duty is \$12,500 multiplied by 0.042, equaling \$525. The merchandise processing fee is \$12,500 multiplied by 0.003464, equaling approximately \$43.30. Adding both gives a combined total of approximately \$568.30 owed in duty and MPF.

#220 · Valuation Appraisement and Duty Assessment

Give a worked example combining an assist: goods invoiced at \$30,000, buyer supplied a mold worth \$6,000 used solely for this order, no other additions apply. What is the transaction value?

Answer

Transaction value equals the invoice price plus the full value of the dutiable assist, since the mold is apportioned entirely to this single order. That is \$30,000 plus \$6,000, which equals \$36,000. If the mold were used across multiple future shipments, its value could instead be apportioned over those shipments.

#221 · Valuation Appraisal and Duty Assessment

Give a worked example: goods cost \$50,000, buyer pays a \$2,500 selling commission and \$1,000 in export packing. What is transaction value?

Answer

Transaction value equals the price actually paid or payable plus statutory additions. Here that is \$50,000 plus \$2,500 selling commission plus \$1,000 packing costs, which totals \$53,500. Buying commissions would not be added, but this example specifies a selling commission, which is dutiable.

#222 · Valuation Appraisal and Duty Assessment

Give a worked example of a compound duty calculation: 1,000 units valued at \$8,000 total, rate is \$0.05 per unit plus 3 percent ad valorem. What is the total duty?

Answer

Calculate each component separately then add them. The specific portion is 1,000 units multiplied by \$0.05, equaling \$50. The ad valorem portion is \$8,000 multiplied by 0.03, equaling \$240. Adding both components gives a total duty of \$290.

#223 · Valuation Appraisement and Duty Assessment

Give a worked example of a specific duty calculation: 500 kilograms of a product at a specific rate of \$0.15 per kilogram. What is the duty owed?

Answer

Multiply the quantity by the specific rate per unit. Here that is 500 kilograms multiplied by \$0.15 per kilogram, which equals \$75. The specific duty owed is \$75, independent of the dollar value of the shipment.

#224 · Valuation Appraisement and Duty Assessment

Give a worked example of an ad valorem duty calculation: entered value is \$20,000, duty rate is 6.5 percent. What is the duty owed?

Answer

Multiply the entered value by the duty rate expressed as a decimal. Here that is \$20,000 multiplied by 0.065, which equals \$1,300. The importer owes \$1,300 in duty on this entry, assuming no other assessments apply.

#225 · Valuation Appraisal and Duty Assessment

Give a worked example of an ad valorem plus specific compound duty on a larger shipment: 2,000 kilograms valued at \$18,000, rate is \$0.02 per kilogram plus 2.5 percent ad valorem. What is the total duty?

Answer

Calculate the specific component first: 2,000 kilograms multiplied by \$0.02 equals \$40. Then calculate the ad valorem component: \$18,000 multiplied by 0.025 equals \$450. Adding the two components together gives a total duty of \$490.

#226 · Valuation Appraisal and Duty Assessment

Give a worked example of currency conversion: invoice value is 10,000 euros, certified exchange rate on the date of export is 1.08 dollars per euro. What is the dollar value?

Answer

Multiply the foreign currency amount by the certified exchange rate. Here that is 10,000 euros multiplied by 1.08, which equals \$10,800. This dollar figure is converted using the certified rate of exchange in effect on the date of exportation, as required by 19 CFR 159.31 through 159.36, and that is the value reported on the entry summary.

#227 · Valuation Appraisement and Duty Assessment

Give a worked example of deductive value: US resale price per unit is \$100, total deductions for profit, general expenses, and US transportation equal \$28, and duty and taxes equal \$7. What is the deductive value?

Answer

Deductive value equals the unit resale price minus the allowable deductions. Here that is \$100 minus \$28 minus \$7, which equals \$65 per unit. This \$65 figure represents the deductive value used as the appraised value of the imported merchandise.

#228 · Valuation Appraisement and Duty Assessment

Give a worked example with a royalty: invoice price is \$40,000, and the buyer pays a \$3,000 trademark royalty required as a condition of sale, not otherwise included in the invoice. What is transaction value?

Answer

Because the royalty is a condition of the sale and is not already reflected in the invoice price, it is added to the price actually paid or payable. That is \$40,000 plus \$3,000, which equals \$43,000 as the transaction value.

#229 · Valuation Appraisement and Duty Assessment

How are commissions treated differently, buying versus selling?

Answer

Buying commissions, paid to an agent who represents the buyer in locating and purchasing goods, are not part of dutiable value and are excluded from transaction value. Selling commissions, paid to a party representing the seller, are a statutory addition and must be added to the price actually paid or payable if not already included.

#230 · Valuation Appraisement and Duty Assessment

How does CBP treat a post-importation price adjustment or rebate?

Answer

A rebate or decrease in price effected after importation of the merchandise is generally disregarded in determining transaction value. Only price adjustments made and known at or before the time of exportation and entry are recognized, because dutiable value must be fixed based on the terms in effect at the time of the transaction.

#231 · Valuation Appraisement and Duty Assessment

How does related-party status alone affect the choice of appraisement method?

Answer

Related-party status does not automatically disqualify transaction value. It only requires the importer to demonstrate, through either the circumstances of sale test or a comparison to test values, that the relationship did not influence the price. If neither test is satisfied, Customs moves to the next method in the hierarchy.

#232 · Valuation Appraisement and Duty Assessment

How does the entered value relate to liquidation?

Answer

The entered value is the value declared by the importer at the time of entry, based on the importer's reasonable care determination of transaction value or an alternative method. At liquidation, CBP reviews the entry and either accepts the declared value or reappraises the merchandise, issuing a Notice of Action if the appraised value or duty amount changes.

#233 · Valuation Appraisement and Duty Assessment

How is profit and general expenses determined under computed value?

Answer

The amount for profit and general expenses under computed value must equal the amount usually reflected in sales of merchandise of the same class or kind as the imported merchandise, made by producers in the country of exportation for export to the United States. Actual figures from the producer's own books are used if consistent with generally accepted accounting principles in the country of production and if they do not conflict with the class-or-kind standard.

#234 · Valuation Appraisement and Duty Assessment

How is the value of an assist apportioned to imported merchandise?

Answer

The importer may apportion the value of an assist over the first shipment if the importer wants to pay duty on the entire value at once, or apportion it over the estimated total production quantity using reasonable accounting methods. The importer generally has discretion in choosing the apportionment method, provided it is consistent with generally accepted accounting principles and is fully disclosed.

#235 · Valuation Appraisement and Duty Assessment

In a three-tiered sale, who bears the burden of proving first sale value applies?

Answer

The importer bears the burden of proof. Customs presumes the last sale before importation is the basis for appraisement unless the importer affirmatively establishes, with sufficient evidence, that an earlier sale qualifies as the transaction value under the first sale rule.

#236 · Valuation Appraisement and Duty Assessment

List the alternative bases of appraisement in hierarchical order after transaction value

Answer

When transaction value cannot be used, Customs applies, in order: transaction value of identical merchandise, transaction value of similar merchandise, deductive value, computed value, and finally a fallback method known as derived value. The importer may request that computed value be applied before deductive value.

#237 · Valuation Appraisement and Duty Assessment

List the five statutory additions to transaction value

Answer

The five additions are packing costs incurred by the buyer, any selling commission paid by the buyer, the value of any assist, royalties or license fees the buyer must pay as a condition of the sale, and proceeds of any subsequent resale that accrue to the seller. These amounts are added to the price actually paid or payable only to the extent not already included and only if based on sufficient information.

#238 · Valuation Appraisement and Duty Assessment

List values prohibited from use under the fallback method

Answer

Prohibited bases include the selling price in the United States of merchandise produced in the United States, a system providing for appraisement at the higher of two alternative values, the price of merchandise in the domestic market of the exporting country, minimum values, arbitrary or fictitious values, and the cost of production other than a properly computed value.

#239 · Valuation Appraisement and Duty Assessment

What adjustments may be needed when using identical or similar merchandise values?

Answer

Adjustments may be required to account for differences in the commercial level of sale, such as wholesale versus retail, and differences in quantity between the merchandise being appraised and the identical or similar merchandise used for comparison, so that the compared values reflect comparable sale circumstances.

#240 · Valuation Appraisement and Duty Assessment

What are the four conditions that must be met for transaction value to apply?

Answer

Transaction value applies only if there are no restrictions on the disposition or use of the merchandise beyond certain permitted limits, the sale or price is not subject to a condition or consideration for which a value cannot be determined, no part of the proceeds of resale accrues to the seller unless properly added, and the buyer and seller are not related, or if related, that the relationship did not influence the price.

#241 • Valuation Appraisement and Duty Assessment

What currency conversion rate does CBP use for entries?

Answer

Currency conversion is governed by 19 CFR 159.31 through 159.36, and 19 CFR 152.25 also touches on conversion for valuation purposes. CBP converts foreign currency to United States dollars using the certified rate of exchange in effect on the date of exportation of the merchandise, not the date of entry or the date of payment. Where more than one rate is certified for a date, CBP uses the rate applicable to the specific kind of transaction.

#242 • Valuation Appraisement and Duty Assessment

What deductions are subtracted under the deductive value method?

Answer

Deductions include the commission usually paid or the profit and general expenses usually added in connection with sales of merchandise of the same class or kind, the usual costs of transportation and insurance incurred within the United States, the customs duties and federal taxes payable on the merchandise, and, when applicable, the value added by further processing after importation.

#243 • Valuation Appraisement and Duty Assessment

What distinguishes a bona fide buying agent from a selling agent?

Answer

A bona fide buying agent acts on behalf of the buyer, procuring merchandise, locating suppliers, and communicating buyer instructions, without owning the goods or bearing risk of loss. Indicators include the agent's activities being subject to the buyer's control, the agent not taking title, and a genuine agency agreement. If the agent instead acts for the seller's benefit, any fee paid is a nondutiable buying commission only if the true buying agency relationship is established.

#244 • Valuation Appraisement and Duty Assessment

What does it mean that a sale or price is subject to a condition for which a value cannot be determined?

Answer

This occurs when the amount of the price actually paid or payable depends on some future event or activity whose value cannot be determined at the time of importation, such as a price contingent on the resale performance of a separate, unrelated product. Because the true price cannot be fixed, transaction value cannot be applied and an alternative method must be used.

#245 • Valuation Appraisement and Duty Assessment

What happens when a buyer and seller are related parties?

Answer

In customs valuation, related parties are defined by 19 USC 1401a(g)(1)(F), repeated at 19 CFR 152.102(g)(6). A person who owns, controls, or holds the power to vote five percent or more of an organization's outstanding voting stock or shares is related to that organization. Transaction value between related parties may still be used if the relationship did not influence the price. That can be shown through a circumstances of sale test demonstrating the price was settled in a manner consistent with normal pricing practices, or through a test values comparison against transaction values of unrelated party sales of identical or similar merchandise at or about the same time.

#246 • Valuation Appraisement and Duty Assessment

What happens when an assist was previously used and is being reused for a new order?

Answer

If a buyer-furnished assist was previously used in the production of other merchandise, its value must be adjusted downward to reflect its prior use before being included as an assist for the current importation, since only the value attributable to the current production run is properly dutiable.

#247 · Valuation Appraisement and Duty Assessment

What is a compound rate of duty?

Answer

A compound rate of duty combines both an ad valorem component and a specific component in the same tariff line, such as 2 cents per kilogram plus 4 percent ad valorem. Both parts of the duty are calculated and added together to determine the total duty owed on the entry.

#248 · Valuation Appraisement and Duty Assessment

What is a nondutiable charge commonly listed separately on a commercial invoice?

Answer

Nondutiable charges include international freight, marine or air insurance, US inland freight after importation, US duties and taxes, construction or assembly costs incurred in the United States after importation, and buying commissions. These charges must be separately itemized on the invoice or in supporting documentation to be excluded from dutiable value.

#249 · Valuation Appraisement and Duty Assessment

What is a selling commission for valuation purposes?

Answer

A selling commission is any commission paid to a party who is acting on behalf of the seller, such as the seller's agent, in connection with the sale of the merchandise for export to the United States. Selling commissions are added to transaction value. Buying commissions, paid to an agent representing the buyer, are not dutiable and are excluded.

#250 · Valuation Appraisement and Duty Assessment

What is a specific rate of duty?

Answer

A specific rate of duty is a fixed amount of duty charged per unit of quantity, such as per kilogram, per dozen, or per liter, regardless of the value of the merchandise. Specific rates are commonly applied to certain agricultural products and some textile or apparel articles.

#251 • Valuation Appraisement and Duty Assessment

What is an ad valorem rate of duty?

Answer

An ad valorem rate of duty is a duty rate expressed as a percentage of the appraised customs value of the imported merchandise. For example, a rate of 5 percent ad valorem means the duty owed equals 5 percent of the entered value. Most Harmonized Tariff Schedule rates are ad valorem.

#252 • Valuation Appraisement and Duty Assessment

What is an assist for customs valuation purposes?

Answer

An assist is an item the buyer provides directly or indirectly, free of charge or at reduced cost, for use in producing or selling the imported merchandise for export to the United States. Common assists include materials, tools, dies, molds, engineering, and artwork undertaken outside the United States. The value of an assist is added to the price actually paid or payable if not already included.

#253 · Valuation Appraisement and Duty Assessment

What is an indirect payment for purposes of price actually paid or payable?

Answer

An indirect payment is any payment made by the buyer to a third party for the benefit of the seller, such as the buyer settling a debt owed by the seller, or the seller crediting the buyer's account in exchange for a service rendered. These payments are included in the price actually paid or payable even though not paid directly to the seller.

#254 · Valuation Appraisement and Duty Assessment

What is meant by class or kind of merchandise under computed value?

Answer

Class or kind of merchandise refers to a group of merchandise that is treated as being of the same general category for comparison purposes, based on factors such as nature, use, and quality, rather than requiring merchandise identical to the imported goods. It is used to benchmark a reasonable profit and general expense figure when actual producer data alone is insufficient or unavailable.

#255 · Valuation Appraisement and Duty Assessment

What is proceeds of subsequent resale as a statutory addition?

Answer

Proceeds of subsequent resale refers to the value of any part of the proceeds of any subsequent resale, disposal, or use of the imported merchandise by the buyer that accrues, directly or indirectly, to the seller. This amount must be added to the price actually paid or payable to the extent not already included.

#256 · Valuation Appraisement and Duty Assessment

What is required for an assist's cost to be included when it was purchased by the buyer from an unrelated supplier?

Answer

When the buyer purchases an assist from an unrelated party, its value is generally the cost of acquisition, including any transportation costs to bring the assist to the place of production, unless the buyer produced the assist itself, in which case the value is the cost of producing it, including a reasonable allowance for profit.

#257 · Valuation Appraisement and Duty Assessment

What is the circumstances of sale test used for?

Answer

The circumstances of sale test is used to determine whether a relationship between a buyer and seller influenced the price in a related-party transaction. Customs examines whether the price was settled in a manner consistent with the normal pricing practices of the industry, with the way the seller settles prices with unrelated buyers, or in a manner that recovers all costs plus a profit consistent with the firm's overall profit over a representative period.

#258 · Valuation Appraisement and Duty Assessment

What is the computed value method?

Answer

Computed value is built from the cost of materials and fabrication or other processing used in producing the merchandise, an amount for profit and general expenses usually reflected in sales of merchandise of the same class or kind by producers in the country of exportation, the value of any assists, and the cost of packing. It essentially reconstructs value from the production side rather than the resale side.

#259 · Valuation Appraisement and Duty Assessment

What is the deductive value method?

Answer

Deductive value bases appraised value on the unit price at which the imported merchandise, or identical or similar merchandise, is sold in the greatest aggregate quantity in the United States at or about the time of importation. From that resale price, deductions are made for commissions or profit and general expenses, freight and insurance, US customs duties and taxes, and further processing costs if applicable.

#260 · Valuation Appraisement and Duty Assessment

What is the difference between dutiable and nondutiable assists in terms of location of performance?

Answer

Materials, components, tools, dies, and molds are dutiable assists regardless of where they are produced. However, engineering, development, artwork, design work, and plans or sketches are only dutiable assists if undertaken outside the United States; identical work performed within the United States is not treated as a dutiable assist.

#261 · Valuation Appraisement and Duty Assessment

What is the difference between transaction value of identical merchandise and transaction value of similar merchandise in application order?

Answer

Transaction value of identical merchandise must be tried before transaction value of similar merchandise. Only if no acceptable transaction value exists for identical merchandise exported at or about the same time does Customs move on to consider transaction values of similar merchandise under the same conditions.

#262 · Valuation Appraisement and Duty Assessment

What is the effect of a quantity or volume discount on transaction value?

Answer

A bona fide discount, such as a quantity discount, that is applied before or at the time of sale and reflects normal commercial practice reduces the price actually paid or payable and is reflected in transaction value. The discount must be a genuine reduction in price, not a rebate or credit conditioned on some other consideration.

#263 • Valuation Appraisement and Duty Assessment

What is the effect of a restriction on the use or disposition of merchandise on transaction value?

Answer

Transaction value cannot be used if there is a restriction on the disposition or use of the merchandise by the buyer, other than restrictions imposed or required by law, limitations on the geographic area in which the merchandise may be resold, or restrictions that do not substantially affect the value of the merchandise. A restriction going beyond these narrow exceptions disqualifies transaction value.

#264 • Valuation Appraisement and Duty Assessment

What is the effect of an unacceptable transaction value on the importer's appraisement obligations?

Answer

If transaction value is found unacceptable, whether due to a related-party influence, an unascertainable statutory addition, or a disqualifying condition on the sale, the importer must be prepared to provide the information needed for Customs to apply the next method in the statutory hierarchy, since the burden of establishing an alternative valuation basis still rests largely on accurate importer-supplied data.

#265 · Valuation Appraisement and Duty Assessment

What is the fallback or derived method of appraisement?

Answer

When none of transaction value, transaction value of identical or similar merchandise, deductive value, or computed value can be used, Customs appraises merchandise using a reasonable adjustment of one of the prior methods, applied in a flexible manner consistent with the general principles of the valuation statute. Certain values are specifically prohibited from use, such as the higher of two alternative values or domestic selling prices in the United States.

#266 · Valuation Appraisement and Duty Assessment

What is the first sale rule in customs valuation?

Answer

The first sale rule allows an importer to use the price in an earlier sale in a multi-tiered transaction, such as a manufacturer-to-middleman sale, as the basis for transaction value, rather than the later middleman-to-importer sale, provided that sale was a bona fide sale for exportation to the United States, conducted at arm's length, and not influenced by any non-market relationship.

#267 · Valuation Appraisement and Duty Assessment

What is the general order of preference between deductive and computed value?

Answer

The general statutory order places deductive value before computed value. However, the importer may request in writing, at the time of filing the entry, that computed value be used instead, and if sufficient information is available to compute it, Customs must use computed value ahead of deductive value for that importer's merchandise.

#268 · Valuation Appraisement and Duty Assessment

What is the general rule for including international freight and insurance in dutiable value?

Answer

Under transaction value, international freight, insurance, and other costs incidental to the international shipment of merchandise from the country of exportation to the United States are excluded from dutiable value, provided they are identified separately from the price actually paid or payable. If not separately identified, they may be included in the dutiable value.

#269 · Valuation Appraisement and Duty Assessment

What is the harbor maintenance fee and how is it calculated?

Answer

The harbor maintenance fee is assessed on the value of commercial cargo loaded or unloaded at US ports that use federally maintained channels or harbors, calculated as 0.125 percent of the value of the cargo. It applies to ocean shipments and is separate from ordinary customs duty and the merchandise processing fee.

#270 · Valuation Appraisement and Duty Assessment

What is the primary method of appraisement under 19 USC 1401a?

Answer

Transaction value is the primary basis of appraisement for imported merchandise. It is the price actually paid or payable for merchandise when sold for exportation to the United States, plus certain statutory additions. Customs must use transaction value unless it cannot be applied or is otherwise excluded by law.

#271 • Valuation Appraisement and Duty Assessment

What is the purpose of the value at first sale documentation requirement?

Answer

Documentation must establish an unbroken chain showing the manufacturer sold the goods to the middleman in an arm's length transaction clearly destined for the United States, including purchase orders, manufacturer invoices, proof of payment, and shipping records identifying the ultimate US destination at the time of the first sale.

#272 • Valuation Appraisement and Duty Assessment

What is the reasonable care standard as it applies to valuation?

Answer

Reasonable care requires the importer to exercise diligence in determining the correct value of imported merchandise, including properly identifying and declaring all statutory additions such as assists, royalties, and selling commissions, and ensuring the correct method of appraisement is used and adequately documented.

#273 · Valuation Appraisement and Duty Assessment

What is the significance of sufficient information in adding statutory additions?

Answer

If sufficient information is not available to Customs to determine the amount of any required statutory addition, such as an assist or royalty, transaction value cannot be used, and Customs must proceed to the next basis of appraisement in the hierarchy. This makes complete and accurate documentation critical to preserving transaction value as the appraisement method.

#274 · Valuation Appraisement and Duty Assessment

What must an importer show to use first sale value?

Answer

The importer must demonstrate that the first sale was a genuine sale clearly destined for export to the United States at the time it occurred, that the price was not influenced by any relationship between the parties, and that adequate documentation exists showing the entire chain of transactions and the price paid in the first sale.

#275 • Valuation Appraisement and Duty Assessment

What role does the invoice play in supporting declared value?

Answer

The commercial invoice is the primary documentary evidence of the price actually paid or payable and must accurately state the terms of sale, currency, quantities, and any separately itemized nondutiable charges. Customs relies on the invoice, together with supporting contracts and payment records, to verify the declared transaction value is complete and accurate.

#276 • Valuation Appraisement and Duty Assessment

What time frame is used to identify the greatest aggregate quantity sale under deductive value?

Answer

The greatest aggregate quantity sale is identified from sales made at or about the time of importation of the merchandise being appraised, meaning within a reasonable period surrounding the importation date, generally within 90 days. If no such sales exist, sales within 90 days after importation may be used under an extended deductive value approach.

#277 · Valuation Appraisement and Duty Assessment

When are royalties or license fees added to transaction value?

Answer

Royalties or license fees are added only when the buyer is required to pay them as a condition of the sale of the merchandise for exportation to the United States, and only to the extent not already included in the price actually paid or payable. Royalties paid for the right to reproduce the merchandise in the United States are specifically excluded.

#278 · Valuation Appraisement and Duty Assessment

When multiple transaction values of identical merchandise exist, which one does Customs use?

Answer

When more than one transaction value for identical merchandise is found, Customs uses the lowest such value to appraise the imported merchandise. The same rule of using the lowest available value applies when multiple transaction values of similar merchandise are identified.

#279 · Valuation Appraisement and Duty Assessment

Who can elect to have computed value applied before deductive value?

Answer

The importer has the right to request that computed value be used in place of deductive value, effectively reversing the normal hierarchy. Customs must honor this election if the importer provides sufficient information for computed value to be determined. Without such an election, deductive value is tried before computed value.

#280 · Valuation Appraisement and Duty Assessment

Why is documentation of currency, Incoterms, and itemized charges important on a commercial invoice for valuation?

Answer

Clear documentation of the currency of sale, the applicable Incoterm, and separately itemized nondutiable charges such as freight and insurance allows Customs to correctly identify the price actually paid or payable and confirm which charges are properly excluded, reducing the risk of an incorrect dutiable value being declared or assessed at liquidation.

#281 · Broker Compliance Recordkeeping and Penalties

Are broker records subject to CBP audit?

Answer

Yes, CBP may audit or examine a broker's records during the required retention period to verify compliance with customs laws and regulations and the accuracy of past transactions. Brokers must cooperate with such reviews and produce responsive records in a timely manner.

#282 · Broker Compliance Recordkeeping and Penalties

Are kickbacks or fee-splitting with unlicensed persons allowed?

Answer

No, fee splitting is not absolutely barred. Under 19 CFR 111.36(b), a broker may not enter an agreement that lets fees for customs business inure to an unlicensed person in a way that lets that person function as an unlicensed broker. However, 19 CFR 111.36(c) allows a broker to compensate a freight forwarder for referring brokerage business when four conditions are met: the broker gives the importer advance notice of the broker chosen to handle the business, gives the importer copies of the broker's charges, holds a power of attorney executed directly with the importer, and does not restrict direct communication between the importer and the broker. A referral payment that meets those four conditions is lawful, while a fee arrangement that lets an unlicensed person share in brokerage fees without those safeguards is not.

#283 · Broker Compliance Recordkeeping and Penalties

Can a broker accept an unsigned or limited power of attorney?

Answer

A broker may accept a power of attorney that limits the scope of authority, such as restricting it to a single transaction or port, as long as the document clearly states those limits. A broker should not act beyond the scope of authority actually granted in the document.

#284 · Broker Compliance Recordkeeping and Penalties

Can a broker delegate customs business entirely to unsupervised employees?

Answer

No. Even when employees perform day-to-day customs business tasks, the licensed broker remains responsible for exercising supervision and control over that work. Unsupervised delegation without adequate oversight can itself constitute a failure of responsible supervision.

#285 · Broker Compliance Recordkeeping and Penalties

Can a broker license be revoked for a felony conviction?

Answer

Yes, a felony conviction, particularly one involving moral turpitude or related to customs business, can be grounds for suspension or revocation of a broker's license. CBP evaluates whether the conviction reflects on the individual's fitness to continue holding a position of trust as a broker.

#286 · Broker Compliance Recordkeeping and Penalties

Can a broker operate under more than one trade name?

Answer

A broker may only conduct customs business under a name that has been properly registered with and approved by CBP. Using an unapproved trade name to transact customs business can create compliance issues during an audit or investigation.

#287 · Broker Compliance Recordkeeping and Penalties

Can a broker's license be revoked without a hearing?

Answer

Yes, in the specific case of failing to file the triennial status report and pay the associated fee within the prescribed time, the license and any permit may be revoked by operation of law without a prior hearing. This is treated differently from revocation for cause, which does require notice and a hearing.

#288 · Broker Compliance Recordkeeping and Penalties

Can a corporation hold a broker license without one?

Answer

No. A corporation, partnership, or association cannot obtain or retain a customs broker license unless at least one of its officers, or one general partner or member, is a licensed individual broker who serves as its qualifying officer. If the entity loses its only qualifying officer, it generally has a limited window to designate a replacement or risk losing its license.

#289 · Broker Compliance Recordkeeping and Penalties

Can a suspended or revoked broker apply for a new license later?

Answer

A person whose license was revoked may apply for a new license in the future, but CBP will consider the circumstances of the prior revocation in deciding whether the applicant currently meets the good character and fitness requirements. There is no automatic right to reinstatement.

#290 · Broker Compliance Recordkeeping and Penalties

Can an individual grant a power of attorney to more than one broker?

Answer

Yes, a principal may grant powers of attorney to more than one broker, and each broker may act on the principal's behalf within the scope granted. Brokers are not entitled to exclusivity simply by holding a power of attorney unless the document itself states otherwise.

#291 · Broker Compliance Recordkeeping and Penalties

Can broker records be kept electronically?

Answer

Yes, a broker may maintain required records in an electronic format as long as the system used ensures the records are accurate, retrievable, and reproducible in an understandable format when needed. The broker must still comply with the same retention period that applies to paper records.

#292 · Broker Compliance Recordkeeping and Penalties

Can CBP request records from a broker during an active investigation?

Answer

Yes, CBP has authority to request and examine a broker's records as part of an investigation into possible violations, and the broker must comply within the retention period the regulations require. Obstruction or destruction of records during an investigation can itself result in additional penalties.

#293 · Broker Compliance Recordkeeping and Penalties

Can penalties be assessed against a broker instead of suspension or revocation?

Answer

Yes, CBP may choose to assess a monetary penalty rather than suspend or revoke a broker's license, particularly for less severe or isolated violations. CBP has discretion to select the sanction it considers appropriate to the facts of the case.

#294 · Broker Compliance Recordkeeping and Penalties

Citizenship requirement for an individual broker applicant

Answer

An individual applying for a customs broker license must be a citizen of the United States. This requirement applies to individual applicants and also to the qualifying officers of corporate, partnership, and association applicants.

#295 · Broker Compliance Recordkeeping and Penalties

Consequence of missing the triennial report deadline

Answer

If a broker fails to file the triennial status report and pay the required fee within the prescribed period, CBP may treat the broker's license and any permit as revoked by operation of law. The broker generally has a limited period after the deadline to file late with an additional penalty before automatic revocation takes effect.

#296 · Broker Compliance Recordkeeping and Penalties

Define responsible supervision and control

Answer

Responsible supervision and control refers to the degree of supervision and control a broker must exercise over its employees and customs business to ensure proper transaction of that business. CBP evaluates factors such as training, availability of a licensed officer or broker for advice, and the volume and complexity of transactions relative to the number of qualified employees.

#297 · Broker Compliance Recordkeeping and Penalties

Does a broker get a hearing before license revocation for cause?

Answer

Yes, except in cases of automatic revocation for failing to file the triennial report, a broker is generally entitled to written notice of the charges and an opportunity for a hearing before an administrative law judge before the license is revoked or suspended for cause. The broker may also seek judicial review after the administrative process concludes.

#298 · Broker Compliance Recordkeeping and Penalties

Does a broker need a power of attorney for every entry filed?

Answer

Yes, a broker generally must have a valid power of attorney on file from the importer of record before filing entries or otherwise transacting customs business on that importer's behalf. Acting without proper authorization can expose the broker to liability and regulatory action.

#299 · Broker Compliance Recordkeeping and Penalties

Does CBP currently require continuing education hours for brokers?

Answer

CBP does not currently impose a mandatory continuing education hour requirement on licensed brokers comparable to what some professional licenses require. Brokers are nonetheless expected to stay informed of changes in customs law and regulation as part of exercising responsible supervision and control.

#300 · Broker Compliance Recordkeeping and Penalties

Does holding a broker license authorize practice before other agencies?

Answer

No, a customs broker license only authorizes the holder to transact customs business with CBP under Title 19 and does not by itself confer authority to represent clients before other federal agencies. Separate credentials or authorizations are required for matters outside CBP's jurisdiction.

#301 · Broker Compliance Recordkeeping and Penalties

Does the broker penalty statute apply to unlicensed persons transacting customs business?

Answer

Unlicensed practice of customs brokerage is a civil matter, not a crime. Under 19 USC 1641(b)(6), a person who transacts customs business as a broker without a license, or who continues after a license or permit has been revoked, suspended, or has lapsed, is subject to a civil monetary penalty of up to 10,000 dollars for each transaction. CBP assesses that penalty under 19 CFR 111.4 and the procedures in 19 CFR Part 111 Subpart E. The former criminal provision, 19 USC 1642, is omitted from the Code, so unlicensed practice carries no imprisonment.

#302 · Broker Compliance Recordkeeping and Penalties

Duration limit on a partnership's power of attorney

Answer

A power of attorney executed by a partnership is limited to a period not exceeding two years from the date it was executed. This limitation exists because the makeup of a partnership can change, so a fresh authorization must be periodically obtained.

#303 · Broker Compliance Recordkeeping and Penalties

Factors CBP weighs for responsible supervision

Answer

CBP considers factors such as the training and experience of employees handling customs business, the availability of a licensed broker for guidance, the volume and complexity of the entries handled, and whether the broker has a compliance program to detect and correct errors. No single factor is determinative; CBP looks at the totality of the circumstances.

#304 · Broker Compliance Recordkeeping and Penalties

General retention period for broker records

Answer

A customs broker must generally retain records relating to customs business, including entry records, for five years from the date of entry or the date the record was created, whichever applies under the regulation. This retention period allows CBP to review and audit broker transactions after the fact.

#305 · Broker Compliance Recordkeeping and Penalties

Give an example of conduct that can lead to license revocation

Answer

Conduct such as fraud or gross negligence in the transaction of customs business, knowingly making a false statement to CBP, or failing to exercise responsible supervision and control can lead to revocation of a broker's license. Repeated recordkeeping failures can also support a revocation action.

#306 · Broker Compliance Recordkeeping and Penalties

Is advising a client on classification considered customs business?

Answer

Yes, providing classification advice to a client for use in the entry process is considered transacting customs business and generally requires the advice to come from or be supervised by a licensed broker. Simply repeating publicly available tariff information without providing advice may fall outside that definition depending on the context.

#307 · Broker Compliance Recordkeeping and Penalties

Is sharing a broker license with an unlicensed person permitted?

Answer

No. A licensed broker may not allow an unlicensed person or firm to use the broker's license to transact customs business, and doing so is a violation that can result in penalties and disciplinary action. Each individual, partnership, association, or corporation transacting customs business must hold its own valid license or be a properly supervised employee of a licensed broker.

#308 · Broker Compliance Recordkeeping and Penalties

Maximum monetary penalty per violation under broker penalty rules

Answer

CBP may assess a monetary penalty against a broker of up to 30,000 dollars for each violation of the statute or regulations governing broker conduct. Penalties are assessed after notice and an opportunity for the broker to respond, and multiple violations can result in cumulative penalties.

#309 · Broker Compliance Recordkeeping and Penalties

Minimum age to hold an individual broker license

Answer

An applicant for an individual customs broker license must be at least 21 years of age at the time of application. The applicant must also be a citizen of the United States and not a federal government employee.

#310 · Broker Compliance Recordkeeping and Penalties

Must a broker advise a client of an error discovered later?

Answer

Yes. A broker who discovers that a client's transaction was not correctly declared, or that duties or fees may be owed, has an obligation to promptly advise the client of the error. This duty supports the overall integrity and accuracy expected of licensed brokers.

#311 · Broker Compliance Recordkeeping and Penalties

Must a broker keep records of client complaints or corrections?

Answer

A broker's recordkeeping obligations extend to documentation of corrections, post entry amendments, and correspondence with clients regarding errors, since these records may be relevant to CBP's review of the broker's accuracy and compliance. Maintaining this documentation supports the broker's ability to demonstrate responsible supervision and control.

#312 · Broker Compliance Recordkeeping and Penalties

Must a broker's license be displayed or available for inspection?

Answer

A licensed broker must be able to produce evidence of licensure and permit status upon request by CBP and must conduct business under the name registered with CBP. Operating under an unregistered or unapproved trade name can create compliance problems.

#313 · Broker Compliance Recordkeeping and Penalties

What are the possible sanctions against a broker's license?

Answer

CBP can revoke a broker's license, suspend it for a defined period, or impose a monetary penalty as sanctions for violations of customs broker laws and regulations. In serious or repeated cases, CBP may pursue revocation rather than a lesser sanction such as suspension.

#314 · Broker Compliance Recordkeeping and Penalties

What does 19 CFR Part 111 govern?

Answer

Part 111 governs the licensing of customs brokers, the granting of national permits, and the regulation of brokers in transacting customs business on behalf of others. It sets out qualification requirements, examination rules, responsible supervision duties, recordkeeping obligations, and the grounds and procedures for suspension or revocation of a license or permit.

#315 · Broker Compliance Recordkeeping and Penalties

What fee is associated with the triennial status report?

Answer

A broker must pay a triennial status report fee to CBP at the time the report is filed, and this fee is set periodically by regulation. Failure to pay the fee along with filing the report can lead to the same automatic revocation consequence as failing to file the report itself.

#316 · Broker Compliance Recordkeeping and Penalties

What form is commonly used for a broker's power of attorney?

Answer

CBP Form 5291 is the customs form commonly used to grant a power of attorney to a customs broker. A power of attorney does not have to use that exact form as long as it contains the information required by the regulations.

#317 · Broker Compliance Recordkeeping and Penalties

What good character requirement applies to license applicants?

Answer

An applicant for a customs broker license must demonstrate good moral character, and CBP may deny a license to an applicant with a disqualifying criminal history or other conduct reflecting poorly on fitness to hold the license. This requirement applies both at initial licensing and can be reconsidered later if issues arise.

#318 · Broker Compliance Recordkeeping and Penalties

What happens if a broker fails to produce records for CBP?

Answer

Failure to make required records available to CBP upon proper request can subject the broker to monetary penalties and can also serve as grounds for suspension or revocation of the broker's license. Recordkeeping compliance is treated as a core obligation of holding a broker license.

#319 · Broker Compliance Recordkeeping and Penalties

What happens if an entry bond becomes insufficient, and what is the broker's role?

Answer

If the bond that covers an entry is insufficient or lapses, CBP may require the importer to file a new or increased bond and may hold the release of merchandise or issue a claim against the existing bond. There is no customs broker's bond to increase or suspend, because no such bond exists in 19 CFR Part 111 or 19 CFR Part 113. A broker's role is to monitor bond sufficiency for its clients and to stop filing entries for a client whose bond coverage cannot support the transaction.

#320 · Broker Compliance Recordkeeping and Penalties

What happens to client authorizations if a broker's permit is revoked?

Answer

Once a broker's permit is revoked, the broker is no longer authorized to act under any powers of attorney it held, and clients must engage a different licensed broker to continue transacting customs business. Existing entries already filed are not automatically invalidated, but no new business may be conducted under the revoked permit.

#321 · Broker Compliance Recordkeeping and Penalties

What information must a power of attorney identify?

Answer

A power of attorney must identify the principal granting the authority, the broker being authorized to act, and the scope of customs business the broker is authorized to transact on the principal's behalf. It must be properly executed by someone with authority to bind the principal.

#322 · Broker Compliance Recordkeeping and Penalties

What is a broker's compliance program generally intended to do?

Answer

A broker compliance program is an internal system of procedures, training, and review designed to help ensure accurate entries, proper recordkeeping, and adherence to CBP regulations. CBP treats the existence and effectiveness of such a program as supporting evidence of responsible supervision and control.

#323 · Broker Compliance Recordkeeping and Penalties

What is a national permit under Part 111?

Answer

A national permit authorizes a broker to conduct customs business throughout the customs territory of the United States rather than being limited to a single district. The 2022 broker modernization rule, CBP Dec. 22-21, replaced the old district permit system and established a single national permit under 19 CFR 111.19. Brokers must apply for and be granted a national permit, and a permit fee is required.

#324 · Broker Compliance Recordkeeping and Penalties

What is a power of attorney under 19 CFR 141.32?

Answer

A power of attorney is the written authorization a client, called a principal, gives a customs broker allowing the broker to transact customs business on the principal's behalf. Section 141.32 prescribes the customs form and content requirements the power of attorney must satisfy to be valid for use with CBP.

#325 · Broker Compliance Recordkeeping and Penalties

What is a qualifying officer?

Answer

A qualifying officer is a licensed individual broker who is an officer of a corporation, or a member of a partnership or association, and through whom the entity qualifies for and holds its own broker license. The qualifying officer must actively participate in and be responsible for the customs business the entity conducts.

#326 · Broker Compliance Recordkeeping and Penalties

What is meant by transacting customs business?

Answer

Transacting customs business means activities such as preparing and filing entries, classifying and valuing merchandise, or otherwise representing clients before CBP in connection with importation requirements. Only a licensed broker, or a person properly supervised by one, may lawfully perform these activities on behalf of others.

#327 · Broker Compliance Recordkeeping and Penalties

What is the difference between suspension and revocation of a license?

Answer

Suspension temporarily bars a broker from transacting customs business for a set period, after which the license becomes active again, while revocation permanently terminates the license unless the broker successfully applies for a new one later. CBP chooses the appropriate remedy based on the severity and nature of the violation.

#328 · Broker Compliance Recordkeeping and Penalties

What is the effect of a broker permit suspension on ongoing business?

Answer

While a broker's permit is suspended, the broker is not authorized to transact new customs business during the suspension period. Existing obligations to clients, such as producing records, typically continue even though the broker cannot conduct new customs transactions.

#329 · Broker Compliance Recordkeeping and Penalties

What is the effect of an expired partnership power of attorney?

Answer

Once a partnership's power of attorney reaches its two-year limit, it is no longer valid, and the broker must obtain a renewed power of attorney before continuing to act on the partnership's behalf. Continuing to act on an expired power of attorney is treated as acting without proper authorization.

#330 · Broker Compliance Recordkeeping and Penalties

What is the practical effect of the five year retention rule on old files?

Answer

A broker should generally not destroy customs business records until at least five years have passed from the relevant entry or record date, since CBP may request them at any point within that window. Premature destruction of records can itself be treated as a recordkeeping violation.

#331 · Broker Compliance Recordkeeping and Penalties

What is the purpose of a customs broker's bond?

Answer

There is no customs broker's bond. No provision of 19 CFR Part 111 or 19 USC 1641 requires a licensed broker to obtain a bond of its own, and the bond conditions in 19 CFR Part 113 contain no customs broker bond. A broker instead works with bonds that belong to other parties in the transaction, such as the importer's entry bond. The broker's own credential obligations are the license, the national permit, and the applicable qualifier and responsible supervision requirements.

#332 · Broker Compliance Recordkeeping and Penalties

What is the triennial status report?

Answer

The triennial status report is a report every licensed broker must file with CBP once every three years to confirm current business information and continued eligibility to hold the license. Failure to file the report and pay the associated fee can result in the license being deemed revoked without a hearing.

#333 · Broker Compliance Recordkeeping and Penalties

What must a broker do if it discovers a client's own violation?

Answer

A broker who learns that a client has violated customs law is generally expected to advise the client accordingly, and continued knowing participation in the violation can expose the broker to its own liability. Prompt disclosure and correction is part of exercising due diligence in customs business.

#334 · Broker Compliance Recordkeeping and Penalties

What must a broker do when an employee is terminated?

Answer

A broker should update its records and notify CBP as required regarding changes in employees who had access to transact or assist with customs business, particularly if that employee's departure affects the broker's supervision structure. Prompt internal control updates help maintain responsible supervision after personnel changes.

#335 · Broker Compliance Recordkeeping and Penalties

What must a broker report to CBP if the business changes?

Answer

A broker must promptly notify CBP of changes such as a new business address, a change in the officers of a corporate broker, or the addition or departure of a qualifying officer. Timely notification helps CBP verify that the broker continues to meet licensing requirements.

#336 · Broker Compliance Recordkeeping and Penalties

What must happen when a corporation dissolves after granting a power of attorney?

Answer

The dissolution of a corporate principal automatically revokes any power of attorney that corporation previously granted to a broker. The broker must stop acting under that authority once it becomes aware the corporation has dissolved.

#337 · Broker Compliance Recordkeeping and Penalties

What records must accompany or support an entry a broker files?

Answer

A broker must retain supporting documentation for each entry, such as invoices, bills of lading, and any classification or valuation work papers used to prepare the entry. These records substantiate the accuracy of the information submitted to CBP.

#338 · Broker Compliance Recordkeeping and Penalties

What replaced the old district permit system?

Answer

The 2022 broker modernization rule, CBP Dec. 22-21, eliminated broker districts and district permits. Every broker now operates under a single national permit issued under 19 CFR 111.19, which is sufficient authority throughout the customs territory of the United States. A broker no longer needs a separate permit for each district or port, and an entity broker does not need a licensed officer in every district where it does business.

#339 · Broker Compliance Recordkeeping and Penalties

What role does the administrative law judge play in broker discipline?

Answer

In a contested proceeding to suspend or revoke a broker's license for cause, an administrative law judge conducts the hearing, receives evidence, and issues a decision on the charges. The broker has the right to be represented and to present a defense during this proceeding.

#340 · Broker Compliance Recordkeeping and Penalties

What statute authorizes broker licensing and penalties?

Answer

19 USC 1641 is the statutory authority governing customs broker licensing, permits, and the penalties CBP may impose for violations, including suspension, revocation, and monetary penalties. The implementing regulations in 19 CFR Part 111 flesh out the procedures for enforcing this statute.

#341 · Broker Compliance Recordkeeping and Penalties

What triggers a prepenalty notice in a broker penalty case?

Answer

Before formally assessing a monetary penalty, CBP typically issues a prepenalty notice informing the broker of the alleged violations and proposed penalty amount, giving the broker an opportunity to respond before the penalty is finalized. This notice and response process is part of due process protections in broker penalty actions.

#342 · Broker Compliance Recordkeeping and Penalties

What types of records must a broker keep?

Answer

A broker must keep records of all correspondence, powers of attorney, statements of account, entry papers, invoices, and other documents relating to the transaction of customs business for clients. These records must be available for CBP inspection during the required retention period.

#343 · Broker Compliance Recordkeeping and Penalties

When is a power of attorney automatically revoked?

Answer

A power of attorney is automatically revoked by the death of the principal, dissolution or termination of a partnership or corporation, insolvency, or by written revocation delivered to the broker. A broker must stop acting under a power of attorney once it learns of such a revoking event.

#344 · Broker Compliance Recordkeeping and Penalties

Where are customs bonds generally regulated?

Answer

Customs bonds are generally governed by 19 CFR Part 113, which sets out the types of bonds, required conditions, approved forms, and approval procedures. Part 113 covers importation and entry bonds, custodian and carrier bonds, and other transaction bonds, but it contains no customs broker bond. A broker does not post a bond of its own and must instead confirm that the bonds belonging to the parties in the transaction are sufficient for the entry being filed.

#345 · Broker Compliance Recordkeeping and Penalties

Where must broker records be kept accessible?

Answer

A broker's records must be kept at a location where CBP can readily inspect them, typically the broker's office of record, and must be made available to CBP officers upon reasonable request. Records stored electronically must still be retrievable and reproducible in a usable format.

#346 · Broker Compliance Recordkeeping and Penalties

Who besides the broker may also be required to keep import records?

Answer

Importers of record are separately required under other customs recordkeeping provisions to retain records related to their imported merchandise, in addition to the broker's own recordkeeping duties. Both the broker and the importer can be examined regarding the same transaction.

#347 · Broker Compliance Recordkeeping and Penalties

Who may sign a power of attorney for a corporation?

Answer

A power of attorney executed on behalf of a corporation must be signed by an officer of the corporation who has authority to bind the corporation. The broker may rely on the signer's authority unless the broker has reason to believe otherwise.

#348 · Broker Compliance Recordkeeping and Penalties

Who must obtain a customs broker license?

Answer

Any person, whether an individual, partnership, association, or corporation, who intends to transact customs business on behalf of others must first obtain a broker license from CBP. Transacting customs business without a license is prohibited under the statute and regulations governing brokers.

#349 · Broker Compliance Recordkeeping and Penalties

Why does CBP require a national permit fee separate from the license?

Answer

The license authorizes a person to hold broker status generally, while the national permit and its associated fee specifically authorize the broker to actively conduct customs business nationwide. A broker can hold a license without an active permit, but cannot transact customs business until a permit is granted.

#350 · Broker Compliance Recordkeeping and Penalties

Why does responsible supervision and control matter?

Answer

A broker license may be suspended or revoked if the broker fails to exercise responsible supervision and control over its customs business, because that failure undermines the accuracy and integrity of entries filed with CBP. It is one of the most frequently cited grounds in broker disciplinary proceedings.

#351 · Broker Compliance Recordkeeping and Penalties

Why is broker education still practically important?

Answer

Although not a formal licensing mandate, staying current on customs regulations helps a broker satisfy the responsible supervision and control standard and avoid errors that could lead to penalties. Many brokers pursue voluntary training and industry education for this reason even without a regulatory requirement to do so.

#352 · Bonds Warehouses and Foreign Trade Zones

Are goods in an FTZ subject to local ad valorem inventory taxes?

Answer

No, tangible personal property imported into an FTZ and held there for storage, sale, exhibition, assembly, manufacturing, or processing is exempt from state and local ad valorem inventory taxes. This exemption is one of the key financial incentives for using zone status.

#353 · Bonds Warehouses and Foreign Trade Zones

Can duty be reduced or eliminated using an inverted tariff benefit in an FTZ?

Answer

Yes, when a zone user elects nonprivileged foreign status and the finished product's duty rate is lower than the rate on its foreign components, the manufacturer can pay the lower finished-product rate upon entry into customs territory. This is known as the inverted tariff benefit and is a major reason companies use subzones for manufacturing.

#354 · Bonds Warehouses and Foreign Trade Zones

Can merchandise be withdrawn from a bonded warehouse for exportation without paying duty?

Answer

Yes, merchandise may be withdrawn from a bonded warehouse for exportation, or for use as supplies on vessels or aircraft, without payment of duty. This allows importers to avoid duty entirely when the goods are ultimately sent out of the United States rather than sold domestically.

#355 · Bonds Warehouses and Foreign Trade Zones

Can merchandise in a bonded warehouse be manipulated?

Answer

Yes, merchandise in a bonded warehouse may be cleaned, sorted, repacked, or otherwise manipulated under CBP supervision without payment of duty, as long as the operation does not amount to manufacturing except in a Class 6 warehouse. This manipulation is authorized under 19 USC 1562.

#356 · Bonds Warehouses and Foreign Trade Zones

Continuous bond versus single transaction bond

Answer

A continuous bond covers all transactions of a specified type made by the principal at any port over a one year period, renewing automatically until terminated. A single transaction bond (STB) covers only one specific entry or transaction and must be posted again for the next entry.

#357 · Bonds Warehouses and Foreign Trade Zones

How does a warehouse entry differ from a consumption entry?

Answer

A warehouse entry places imported merchandise into a bonded warehouse without immediate payment of duty, deferring duty payment until the goods are withdrawn for consumption. A consumption entry, by contrast, requires estimated duties to be paid at the time of entry so the merchandise can enter the commerce of the United States immediately.

#358 · Bonds Warehouses and Foreign Trade Zones

How long may merchandise remain in a bonded warehouse under warehouse entry?

Answer

Merchandise entered under a warehouse entry may remain in a bonded warehouse for up to five years from the date of importation. If not withdrawn, exported, or destroyed within that period, the merchandise is considered abandoned and subject to disposal by CBP, typically through sale.

#359 · Bonds Warehouses and Foreign Trade Zones

Minimum continuous bond amount for an importer

Answer

The minimum continuous import bond amount is generally the greater of 10 percent of duties, taxes, and fees paid in the prior year or 50,000 dollars, with a 50,000 dollar floor. CBP can require a higher amount based on risk, compliance history, or the nature of the merchandise.

#360 · Bonds Warehouses and Foreign Trade Zones

What activating conditions does an activity code 1 bond cover?

Answer

An activity code 1 bond is the basic importation and entry bond. It secures payment of duties, taxes, and fees, production of documents, redelivery of merchandise, and compliance with entry and examination requirements for importers of record.

#361 · Bonds Warehouses and Foreign Trade Zones

What agency bonds are required for proprietors of bonded warehouses?

Answer

Proprietors of bonded warehouses must post an activity code 4 warehouse proprietor bond, which secures compliance with warehouse regulations, proper accounting for merchandise, and payment of duties on any merchandise that is lost, missing, or improperly removed from the warehouse. This is distinct from the importer's own entry bond.

#362 · Bonds Warehouses and Foreign Trade Zones

What agency grants authority to establish a Foreign Trade Zone?

Answer

The Foreign Trade Zones Board, composed of the Secretary of Commerce and the Secretary of the Treasury, grants authority to establish and operate FTZs. Local applicants such as port authorities or economic development corporations apply to the Board to become zone grantees.

#363 · Bonds Warehouses and Foreign Trade Zones

What are the general classes of bonded warehouses under 19 CFR 19.1?

Answer

Bonded warehouses are divided into eleven classes under 19 CFR 19.1. Class 2 warehouses are private warehouses used for the proprietor's own merchandise, and Class 3 warehouses are public warehouses open to any party's goods. The specialized classes include Class 5 for grain storage, Class 6 for manufacturing in bond, Class 7 for smelting and refining, Class 8 for cleaning, sorting, repacking, or changing condition but not manufacturing, and Class 9 for duty-free stores. Class 10 is reserved and unused, and Class 11 covers the general order warehouses. Each class has distinct proprietorship, storage, and use restrictions.

#364 · Bonds Warehouses and Foreign Trade Zones

What are the main admission status categories for merchandise in an FTZ?

Answer

Merchandise may be admitted in privileged foreign status, nonprivileged foreign status, domestic status, or zone-restricted status. Each status determines how the merchandise is classified and dutied when it eventually enters US customs territory or is exported.

#365 · Bonds Warehouses and Foreign Trade Zones

What CBP form is used to admit merchandise into a Foreign Trade Zone?

Answer

CBP Form 214, the Application for Foreign Trade Zone Admission and Status Designation, is used to admit merchandise into a zone and to declare its admission status. It must be filed before or at the time the merchandise is brought into the zone.

#366 · Bonds Warehouses and Foreign Trade Zones

What CFR part governs CBP customs bonds?

Answer

Customs bonds are governed by 19 CFR Part 113. It sets the conditions, terms, and approved forms for continuous and single transaction bonds used to secure obligations owed to CBP. Part 113 also lists the standard bond conditions such as CBP Form 301.

#367 · Bonds Warehouses and Foreign Trade Zones

What does a foreign trade zone operator bond secure?

Answer

An activity code 3 foreign trade zone operator bond secures compliance with FTZ regulations under 19 CFR Part 146, including proper admission, accounting, and removal of merchandise from the zone. It protects the revenue on goods that have not yet formally entered US commerce.

#368 · Bonds Warehouses and Foreign Trade Zones

What duty rate applies when merchandise is withdrawn from a bonded warehouse for consumption?

Answer

Duty is assessed at the rate and value in effect on the date the merchandise is withdrawn from warehouse for consumption, not the rate in effect when the goods were originally imported and entered for warehouse. This can result in a different duty rate than what applied at entry.

#369 · Bonds Warehouses and Foreign Trade Zones

What happens if TIB merchandise is not timely exported or destroyed?

Answer

If TIB merchandise is not exported or destroyed within the bonded period, the importer becomes liable for liquidated damages, typically equal to double the estimated duties, taxes, and fees that would have applied at entry. CBP issues a demand for payment against the bond.

#370 · Bonds Warehouses and Foreign Trade Zones

What inventory control and recordkeeping system must an FTZ operator maintain?

Answer

An FTZ operator must maintain a perpetual inventory control and recordkeeping system approved by CBP that tracks the receipt, storage, processing, and removal of all merchandise in the zone. This system must allow CBP to trace any lot of merchandise from admission to final disposition.

#371 · Bonds Warehouses and Foreign Trade Zones

What is a Class 11 general order warehouse?

Answer

A Class 11 warehouse is the general order warehouse class. It stores general order merchandise, meaning goods that were not entered within the required time, refused entry, or abandoned. Such goods are considered unclaimed and may ultimately be sold at public auction if not properly entered or withdrawn. Class 10 is reserved and unused, not a general order class.

#372 · Bonds Warehouses and Foreign Trade Zones

What is a Class 2 bonded warehouse used for?

Answer

A Class 2 private bonded warehouse is used exclusively for storing the proprietor's own imported merchandise, not for the merchandise of others. It is a private facility, unlike a Class 3 public warehouse, which stores merchandise belonging to any importer.

#373 · Bonds Warehouses and Foreign Trade Zones

What is a Class 3 bonded warehouse?

Answer

A Class 3 bonded warehouse is a public bonded storage warehouse used for storing merchandise belonging to any party, not just the proprietor's own goods. It is the general-purpose public warehouse class, distinct from a Class 2 private warehouse. Class 3 warehouses hold general merchandise; they are not the grain class, which is Class 5.

#374 · Bonds Warehouses and Foreign Trade Zones

What is a Class 6 bonded warehouse?

Answer

A Class 6 bonded warehouse is the bonded manufacturing warehouse class. Imported merchandise may be manipulated and manufactured there into new articles, generally for exportation. Manufacturing in bond is a Class 6 privilege; a Class 8 warehouse may clean, sort, repack, or otherwise change condition but cannot manufacture.

#375 · Bonds Warehouses and Foreign Trade Zones

What is a Class 8 bonded warehouse?

Answer

A Class 8 bonded warehouse is used for cleaning, sorting, repacking, or otherwise changing the condition of imported merchandise under CBP supervision. It is not a manufacturing class. The manufacturing-in-bond privilege belongs to Class 6, so Class 8 operations must stop short of producing a new and different article. Smelting and refining metal-bearing materials is a separate class, Class 7.

#376 · Bonds Warehouses and Foreign Trade Zones

What is a custodian of bonded merchandise bond (activity code 2)?

Answer

An activity code 2 bond, also called a cartage or custodian bond, covers parties who transport or store bonded merchandise, such as bonded warehouse proprietors and cartmen. It secures the safekeeping and proper accounting of merchandise while it remains in CBP custody or bond.

#377 · Bonds Warehouses and Foreign Trade Zones

What is a Foreign Trade Zone (FTZ)?

Answer

A Foreign Trade Zone is a secure area, considered outside CBP customs territory for tariff purposes, where merchandise can be admitted without formal customs entry or payment of duty until it enters US commerce. FTZs are authorized under the Foreign Trade Zones Act of 1934 and regulated under 19 CFR Part 146.

#378 · Bonds Warehouses and Foreign Trade Zones

What is a warehouse entry-withdrawal for consumption sequence commonly called?

Answer

This two-step process is commonly called a warehouse withdrawal entry, where the initial warehouse entry defers duty and a later withdrawal for consumption entry triggers duty payment at the rate in effect on the withdrawal date. It lets importers store goods duty-free and pay duty only when the goods are actually sold or used domestically.

#379 · Bonds Warehouses and Foreign Trade Zones

What is a zone-to-zone transfer?

Answer

A zone-to-zone transfer is the movement of merchandise directly from one foreign trade zone to another without the merchandise being formally entered into US customs territory. The transfer is made in-bond, and duty liability follows the merchandise to the receiving zone.

#380 · Bonds Warehouses and Foreign Trade Zones

What is domestic status merchandise in an FTZ?

Answer

Domestic status merchandise consists of goods that are products of the United States, or foreign goods that have already been properly entered and duty paid, and are then admitted into the zone. Domestic status merchandise may generally be removed from the zone into customs territory without additional duty.

#381 • Bonds Warehouses and Foreign Trade Zones

What is nonprivileged foreign status in an FTZ?

Answer

Nonprivileged foreign status means the merchandise is classified and dutied based on its condition at the time it is transferred from the zone into US customs territory, not its condition when admitted. If the goods were manufactured or changed in the zone, duty is assessed on the finished article's classification and rate.

#382 • Bonds Warehouses and Foreign Trade Zones

What is privileged foreign status in an FTZ?

Answer

Privileged foreign status fixes the classification, quantity, and rate of duty applicable to merchandise as of the date the privileged foreign status application is filed with CBP, before any manufacturing or manipulation occurs. This locks in the tariff treatment even if the merchandise is later processed into a different article.

#383 · Bonds Warehouses and Foreign Trade Zones

What is the difference between a general purpose zone and a subzone?

Answer

A general purpose zone is a shared site typically operated by a public zone grantee and used by multiple businesses for storage, assembly, or light processing. A subzone is a special purpose site approved for a single company's specific manufacturing or processing operation, often located at that company's own facility.

#384 · Bonds Warehouses and Foreign Trade Zones

What is the standard bond condition on CBP Form 301 for redelivery?

Answer

The redelivery bond condition requires the importer to redeliver merchandise to CBP custody on demand, typically because the merchandise failed examination, was improperly marked, or requires further agency clearance. Failure to redeliver results in liquidated damages, generally three times the value of the merchandise or a set amount under the bond terms.

#385 · Bonds Warehouses and Foreign Trade Zones

What is the standard time limit for goods entered under a TIB?

Answer

Merchandise entered under a TIB must generally be exported or destroyed within one year from the date of importation. CBP may grant extensions, but the total period, including extensions, cannot exceed three years.

#386 · Bonds Warehouses and Foreign Trade Zones

What is weekly entry in an FTZ?

Answer

Weekly entry allows a zone operator to file a single consumption entry summary covering all merchandise withdrawn from the zone for the entire preceding week, rather than filing a separate entry for each shipment. This reduces the number of entry filings and associated merchandise processing fees.

#387 · Bonds Warehouses and Foreign Trade Zones

What is zone-restricted status?

Answer

Zone-restricted status is assigned to merchandise that can be entered into the zone only for the purpose of exportation, destruction, or storage, and it generally cannot be entered into US customs territory for consumption. Once placed under zone-restricted status, that status is generally irrevocable.

#388 · Bonds Warehouses and Foreign Trade Zones

What regulation governs FTZ operations at CBP?

Answer

Foreign Trade Zones are governed by 19 CFR Part 146, which sets forth admission procedures, status designation, inventory control and recordkeeping requirements, and the process for zone-to-zone transfers. Part 146 works alongside the Foreign Trade Zones Act and Foreign Trade Zones Board regulations at 15 CFR Part 400.

#389 • Bonds Warehouses and Foreign Trade Zones

What tariff schedule chapter and heading numbers cover most TIB provisions?

Answer

Most TIB provisions are found in Chapter 98, Subchapter XIII of the Harmonized Tariff Schedule, under headings such as 9813.00.05 through 9813.00.75. These headings list specific eligible categories, including articles for repair, professional equipment, and samples for taking orders.

#390 • Bonds Warehouses and Foreign Trade Zones

When must an importer post a single transaction bond instead of relying on a continuous bond?

Answer

An STB is required when the importer has no continuous bond on file, when CBP determines the continuous bond amount is insufficient for a specific high-value or high-risk entry, or for certain restricted or high-risk commodities such as those requiring FDA or other agency holds. CBP can demand an STB even from a continuous bond holder for an unusually risky shipment.

#391 · Bonds Warehouses and Foreign Trade Zones

Who may act as surety on a customs bond?

Answer

A surety must be a corporation certified by the Department of the Treasury to act as surety on federal bonds, listed on Treasury Circular 570. A principal may also post a bond secured by cash, government obligations, or an individual/corporate surety meeting CBP requirements in limited cases.

#392 · Bonds Warehouses and Foreign Trade Zones

Why might CBP require a bond rider or bond increase?

Answer

CBP may require a bond rider or an increase in the continuous bond amount when an importer's duty, tax, and fee liability grows, when compliance risk increases, or when CBP identifies that the existing bond amount no longer adequately secures potential revenue loss. Sureties and importers use a bond rider to formally amend the bond terms without terminating the existing bond.

#393 · Country of Origin Marking and Intellectual Property Rights

Can an importer avoid the marking duty by exporting unmarked goods?

Answer

Yes, under 19 CFR 134.51 and 134.52, an importer can avoid the 10 percent marking duty by exporting or destroying the improperly marked merchandise under CBP supervision, or by properly marking it under CBP supervision, all before liquidation of the entry. Once liquidation becomes final, the opportunity to cure through remarking, exportation, or destruction generally closes. This makes prompt action after a marking notice essential to avoiding the penalty duty.

#394 · Country of Origin Marking and Intellectual Property Rights

Can gray market goods ever be legally imported without restriction?

Answer

Yes, gray market goods can be freely imported when the foreign trademark owner and the U.S. trademark owner are the same entity, are parent and subsidiary, or are otherwise under common ownership or control, because in that situation there is no independent U.S. rights holder being harmed. CBP regulations under 19 CFR Part 133 exempt these common-control situations from the gray market restriction. Restriction generally applies only where the foreign and domestic marks are held by legally and economically distinct, unrelated owners.

#395 · Country of Origin Marking and Intellectual Property Rights

Can trade names be recorded with CBP for border enforcement?

Answer

Yes, in addition to trademarks and copyrights, CBP allows recordation of trade names under 19 CFR Part 133, giving CBP authority to help protect against importation of goods that use a protected trade name in a way that infringes the recorded rights. Trade name protection functions similarly to trademark recordation but covers the business or commercial name rather than a specific mark used on goods. Recordation still requires an underlying, legally established right before CBP will accept it.

#396 · Country of Origin Marking and Intellectual Property Rights

Define ultimate purchaser under 19 CFR 134.1(d).

Answer

The ultimate purchaser is generally the last person in the United States who receives the article in the form in which it was imported. If further work or a material change is done in the United States that results in a substantial transformation, the manufacturer or processor performing that work becomes the ultimate purchaser instead of a later buyer. Identifying the ultimate purchaser correctly determines where in the supply chain the marking obligation must be satisfied.

#397 · Country of Origin Marking and Intellectual Property Rights

Distinguish counterfeit goods from gray market goods.

Answer

Counterfeit goods bear a spurious trademark that is identical to or substantially indistinguishable from a genuine registered mark, without authorization, and are generally subject to seizure and forfeiture. Gray market goods, also called parallel imports, are genuine trademarked goods that are legitimately manufactured abroad but imported into the United States without the authorization of the U.S. trademark owner or its authorized distributor. Gray market goods are legal in many circumstances but can be restricted if the foreign and domestic trademark owners are not the same entity or if there are material differences from the authorized U.S. product.

#398 · Country of Origin Marking and Intellectual Property Rights

Does repacking in the United States relieve the marking requirement?

Answer

No, if an article is repacked in the United States after importation, the marking must still accurately reflect the foreign country of origin unless the repacking amounts to a substantial transformation, which is rare for simple repacking. Importers who know or have reason to know that an imported article will be repacked domestically after entry have specific certification obligations under 19 CFR 134.26 to ensure the ultimate purchaser still sees the correct origin marking. Merely relabeling or repacking without disclosing true origin can violate the marking statute.

#399 · Country of Origin Marking and Intellectual Property Rights

How are sets marked when components come from different countries?

Answer

When articles are imported as a set from different countries and the set does not undergo substantial transformation, CBP generally requires that the marking indicate the different countries of origin of the components or mark the retail container with the origin information if individual marking is impractical. A blended or misleading single-country marking for a multi-origin set is not permitted. Substantial transformation rules apply if further processing changes the set into a new article.

#400 · Country of Origin Marking and Intellectual Property Rights

How does the NAFTA Marking Rules treatment of sets differ from general marking rules?

Answer

Under 19 CFR 102.20's set-related provisions and Part 102 generally, goods classified as sets under General Rule of Interpretation 3 have specific tariff shift rules applied to determine origin, distinct from the general set-marking guidance under Part 134. For USMCA-eligible sets, the applicable Part 102 rule for the set's classification governs origin determination rather than the traditional name-character-use substantial transformation test. This tariff-shift-based approach can produce a different origin result than would be reached by applying the general marking rules to the same set.

#401 · Country of Origin Marking and Intellectual Property Rights

How does the origin of component materials affect marking when a good is not substantially transformed?

Answer

If a good imported into the United States has not been substantially transformed by any intervening processing, its country of origin for marking purposes remains the country where the good itself was last substantially transformed, regardless of where individual raw materials originally came from. Marking focuses on where the finished article as imported took its essential character, not on tracing every input material back to its own source. This is why simple assembly from multiple countries' components does not automatically make the assembling country the origin unless that assembly itself rises to substantial transformation.

#402 · Country of Origin Marking and Intellectual Property Rights

How does USMCA change the substantial transformation test?

Answer

For goods of Canada, Mexico, or the United States, country of origin for marking purposes is determined under the NAFTA Marking Rules found in 19 CFR Part 102, which USMCA carried forward largely unchanged. These rules use a tariff shift analysis based on the Harmonized Tariff Schedule rather than the traditional name-character-use test. A good's origin is determined by whether its non-originating materials undergo the specific tariff classification change required by the applicable Part 102 rule.

#403 · Country of Origin Marking and Intellectual Property Rights

How long does CBP detain suspected infringing merchandise before seizure?

Answer

CBP generally has up to 30 days from the date merchandise is presented for examination to determine whether goods are infringing, though this period can be extended. During detention, CBP may notify the rights holder and share limited samples or information to help confirm infringement. If CBP determines the goods are counterfeit or otherwise infringing, it moves to seizure and forfeiture rather than simply releasing the shipment.

#404 · Country of Origin Marking and Intellectual Property Rights

Must the marking be in English?

Answer

Yes, 19 CFR 134.45 requires that the country of origin be indicated in English, using words such as 'Made in' or 'Product of' followed by the country name, unless the words alone would be misleading. Abbreviations that clearly indicate the country, such as 'Great Britain' for the United Kingdom, may be acceptable, but ambiguous or foreign-language-only markings do not satisfy the statute. The marking must be understandable to the ordinary American purchaser without translation.

#405 · Country of Origin Marking and Intellectual Property Rights

Name two other categories of marking exceptions besides the J-list.

Answer

19 CFR 134.32 lists general exceptions, including articles incapable of being marked, articles that would be economically or physically damaged by marking, articles imported for the importer's own use and not for resale, and crude substances. Also excepted are articles that will undergo further substantial transformation in the United States that will result in a new marking by the processor. Even where an exception applies, marking of the outer container is often still required unless a separate container exception applies.

#406 · Country of Origin Marking and Intellectual Property Rights

What CBP action can occur with seized counterfeit merchandise?

Answer

CBP may seize counterfeit merchandise bearing a recorded trademark and can assess civil penalties against the importer under 19 U.S.C. 1526(f). Penalties can equal the value the goods would have had if genuine for a first offense and up to twice that value for subsequent offenses. Seized counterfeit goods are generally forfeited and destroyed rather than released to the importer, and CBP may disclose limited information about the seizure to the rights holder.

#407 · Country of Origin Marking and Intellectual Property Rights

What CFR part governs country of origin marking?

Answer

19 CFR Part 134 sets the marking requirements for imported articles. It implements 19 U.S.C. 1304, which requires every article of foreign origin to be marked in a conspicuous place as legibly, indelibly, and permanently as the nature of the article permits. The marking must indicate to the ultimate purchaser in the United States the English name of the country of origin.

#408 · Country of Origin Marking and Intellectual Property Rights

What does 'Made in USA' labeling require outside of CBP marking law?

Answer

Unqualified 'Made in USA' claims are regulated by the Federal Trade Commission, which requires that all or virtually all significant parts, processing, and labor be of U.S. origin. This is a separate legal standard from CBP's 19 CFR 134 country of origin marking rules, which apply only to articles of foreign origin. A customs broker should recognize that FTC domestic-origin claims and CBP foreign-origin marking requirements are administered by different agencies under different statutes.

#409 · Country of Origin Marking and Intellectual Property Rights

What does the tariff shift rule under 19 CFR 102.20 measure?

Answer

It measures whether each foreign material used to make a good changes to a different tariff heading or subheading than the finished good, as specified by the rule for that HTS provision. If every non-originating material satisfies its required tariff shift, the last country where production occurred is the country of origin for marking. If materials from more than one country are used and no single country's shift qualifies, the last country of production still generally governs under the fallback rules.

#410 · Country of Origin Marking and Intellectual Property Rights

What happens if an imported article is not marked at time of entry?

Answer

Under 19 USC 1304(i), CBP assesses a marking duty equal to 10 percent ad valorem on articles that are not properly marked at the time of importation and reach liquidation still improperly marked. The marking duty is separate from and in addition to any regular duty owed, and it is imposed by statute rather than as a fraud penalty. The importer can avoid it by exporting, destroying, or properly marking the goods under CBP supervision before liquidation. An imported article used in US manufacturing that results in a new article is excepted from marking under 19 CFR 134.35(a), but the outermost containers in which the imported article arrived must still be marked with the foreign origin.

#411 · Country of Origin Marking and Intellectual Property Rights

What happens if an importer disagrees with a CBP marking determination?

Answer

An importer who disagrees with a CBP marking decision, such as a redelivery notice or a ruling on origin, may protest under 19 U.S.C. 1514 following liquidation, or may pursue a prospective ruling request before importing to resolve the issue in advance. Protests must generally be filed within 180 days of liquidation and follow the standard administrative protest procedures used for other customs decisions. This gives importers a formal avenue to challenge marking-related decisions rather than simply accepting CBP's initial finding.

#412 · Country of Origin Marking and Intellectual Property Rights

What happens when goods from a non-USMCA country undergo minor processing in Canada or Mexico?

Answer

If the processing performed in Canada or Mexico does not satisfy the applicable tariff shift rule under 19 CFR Part 102, the country of origin for marking purposes remains the original non-USMCA country where the last qualifying transformation occurred, not Canada or Mexico. Simple operations like packaging, labeling, or minor assembly typically do not meet the tariff shift threshold. This prevents goods from being relabeled with a new country of origin simply by passing through a USMCA country without substantial processing.

#413 · Country of Origin Marking and Intellectual Property Rights

What is 19 CFR 134.46 designed to prevent?

Answer

It is designed to prevent an ordinary purchaser from being deceived or misled into believing an article was made somewhere other than its actual country of origin, particularly when a U.S. city or address is prominently displayed on the product. Without the close-proximity and comparable-size requirement, a domestic-sounding address could obscure the true foreign origin. Failure to comply can result in the article being treated as improperly marked, triggering the marking duty and possible detention.

#414 · Country of Origin Marking and Intellectual Property Rights

What is 19 CFR Part 133?

Answer

19 CFR Part 133 is the CBP regulation implementing trademark, trade name, and copyright protection at the border, including procedures for recordation, detention, seizure, and forfeiture of infringing merchandise. It covers restrictions on gray market goods, the Lever Rule, and the process by which importers can respond to a detention notice. It works together with e-Recordation, which is the electronic filing system used to actually record the rights described in Part 133.

#415 · Country of Origin Marking and Intellectual Property Rights

What is a common false statement risk connected to marking on an entry?

Answer

Falsely declaring the country of origin on entry documents, or knowingly importing improperly marked goods while representing them as compliant, can expose an importer or broker to civil penalties under 19 U.S.C. 1592 for material false statements, separate from the 10 percent marking duty under section 1304. These are two distinct enforcement tools, one addressing the physical marking of the goods and the other addressing the accuracy of the customs declaration itself. A broker must ensure origin representations made in the entry are consistent with the actual marking and true country of origin of the merchandise.

#416 · Country of Origin Marking and Intellectual Property Rights

What is a country of origin marking country name abbreviation rule?

Answer

19 CFR 134.46 imposes a special close proximity and comparable size requirement when the name of any city, locality, or country other than the actual country of origin, or a U.S. address, appears on the article or its container. In that situation, the actual country of origin must be shown legibly, in close proximity to the other name, and in lettering of at least comparable size, to prevent the ordinary purchaser from being misled about origin. This rule is triggered specifically to prevent confusion when a U.S. address or a third location appears alongside the true country of origin.

#417 · Country of Origin Marking and Intellectual Property Rights

What is a Notice to Mark, Redeliver, or Show Cause?

Answer

When CBP finds imported merchandise is not legally marked, it issues a notice, often on CBP Form 4647, directing the importer to properly mark, redeliver, or otherwise correct the marking deficiency within a specified period, usually 30 days. Failure to comply can result in liquidated damages against the importer's bond and assessment of the 10 percent marking duty. The importer may also be required to redeliver merchandise already released from CBP custody.

#418 · Country of Origin Marking and Intellectual Property Rights

What is a 'spurious mark' in the counterfeit context?

Answer

A spurious mark is a mark that is identical to, or substantially indistinguishable from, a mark that is registered with the USPTO and recorded with CBP, used on the same type of goods for which the mark is registered, without the authorization of the trademark owner. This is the legal standard CBP applies to determine whether goods are counterfeit and subject to seizure under 19 U.S.C. 1526(e). A mark that is merely similar but not substantially indistinguishable, or that is used on different goods than the registration covers, may not meet the spurious mark standard.

#419 · Country of Origin Marking and Intellectual Property Rights

What is CBP's IPR e-Recordation program?

Answer

e-Recordation is CBP's online system that allows trademark and copyright owners to record their federally registered trademarks and copyrights with CBP electronically. Recordation gives CBP border enforcement authority and notifies CBP officers of the rights so they can detain, seize, and pursue suspected infringing merchandise at the border. Recordation must be renewed and is tied to the underlying registration held with the USPTO or U.S. Copyright Office.

#420 · Country of Origin Marking and Intellectual Property Rights

What is gray market goods' statutory basis at CBP?

Answer

Gray market enforcement at CBP arises primarily from 19 U.S.C. 1526, the Tariff Act provision restricting importation of merchandise bearing a genuine trademark owned by a U.S. citizen or corporation without the consent of the trademark owner. CBP regulations implementing this, found in 19 CFR Part 133, distinguish between goods subject to restriction and those exempted, such as goods made by the same corporate entity that owns the U.S. mark. This differs from copyright and patent enforcement, which rely on separate statutory schemes.

#421 · Country of Origin Marking and Intellectual Property Rights

What is required to mark USMCA-eligible textile and apparel goods for origin?

Answer

Textile and apparel goods generally follow their own specific rule of origin for marking purposes under 19 CFR 102.21, a dedicated set of tariff shift and other criteria separate from the general Part 102 rules used for other merchandise. These rules often focus on where the fabric was formed or where the garment was cut and sewn, rather than a simple assembly location. Because textiles have historically been prone to transshipment and origin disputes, CBP applies this more detailed, product-specific rule set.

#422 · Country of Origin Marking and Intellectual Property Rights

What is the difference between country of origin for marking and country of origin for duty preference eligibility?

Answer

Country of origin for marking purposes under 19 CFR 134 determines what label must appear on the goods, while country of origin for preferential duty treatment, such as under USMCA, determines whether the good qualifies for a reduced or free duty rate under the applicable rules of origin in the agreement's own chapter. A good can be marked as originating in one country under Part 134 or Part 102 yet still fail to qualify for USMCA preferential tariff treatment because it does not meet the specific regional value content or tariff shift requirements of the preference program. Brokers must apply the correct, separate rule set depending on whether they are answering a marking question or a duty preference question.

#423 · Country of Origin Marking and Intellectual Property Rights

What is the J-list?

Answer

The J-list, found in 19 CFR 134.33, is a list of articles that are excepted from individual marking because of their nature or the impracticality of marking them. Examples include buttons, bolts, nuts, and rivets. Even when an article itself is J-list exempted, the outermost container in which it is imported must still be marked with the country of origin so the ultimate purchaser can see it.

#424 · Country of Origin Marking and Intellectual Property Rights

What is the legal test for substantial transformation?

Answer

Substantial transformation occurs when an article emerges from a manufacturing or processing operation with a new name, character, or use that is different from what it possessed before the operation. If all three factors are present, the country where the transformation occurred becomes the new country of origin for marking purposes. Simple assembly, packaging, or minor processing generally does not meet this standard.

#425 · Country of Origin Marking and Intellectual Property Rights

What is the Lever Rule?

Answer

The Lever Rule allows a domestic trademark owner to restrict importation of gray market goods that are physically and materially different from the goods the domestic owner authorizes for sale in the United States, even though the gray market goods carry a genuine foreign trademark. The rule applies when the foreign manufacturer and the domestic trademark holder are related companies. To use the rule, the trademark owner must apply to CBP for Lever protection and identify the specific physical differences.

#426 · Country of Origin Marking and Intellectual Property Rights

What is the repacker's certification requirement under 19 CFR 134.26?

Answer

When an importer knows or has reason to believe that an article will be repacked after release from CBP custody, the importer must certify to CBP that either the imported containers were marked with the country of origin or that the importer will notify subsequent purchasers or repackers in writing that they must properly mark the article or its new container before further sale. This preserves the ultimate purchaser's ability to see accurate origin information even when repacking happens after entry. Failure to make this certification can expose the importer to marking violations even though it did not personally repack the goods.

#427 · Country of Origin Marking and Intellectual Property Rights

What marking method satisfies the permanence requirement?

Answer

The marking must be as permanent as the nature of the article permits, meaning it should survive normal handling and reasonably expected use so it remains legible to the ultimate purchaser. Acceptable methods vary by product and can include die stamping, engraving, molding into the article, or a securely affixed label, while a method easily removed or worn off may fail the standard. CBP evaluates permanence relative to the article's material and how it is normally sold and used, not against one universal method.

#428 · Country of Origin Marking and Intellectual Property Rights

What marking rule applies to imported containers or holders?

Answer

Under 19 CFR 134.24, usual containers imported filled generally take the origin status and marking requirements of their contents and need not be separately marked, unless they are of a durable nature suitable for reuse. Containers designed for reuse, such as reusable holders, must be marked with their own country of origin. Unusual or non-disposable containers require their own conspicuous origin marking regardless of the origin of the contents.

#429 · Country of Origin Marking and Intellectual Property Rights

What role does a country of origin ruling request play?

Answer

Importers can request a binding country of origin ruling from CBP, generally through the National Commodity Specialist Division or the Office of Regulations and Rulings, to obtain certainty about how a specific article should be marked and what its origin is for marking purposes before importing. These rulings, once issued, are binding on CBP with respect to the facts presented and protect the importer from marking penalties if the facts do not change. This process mirrors the classification ruling process but focuses on origin and marking rather than tariff classification.

#430 · Country of Origin Marking and Intellectual Property Rights

Where must the marking be located on the article?

Answer

The marking must be located in a conspicuous place that is readily noticed by an ordinary purchaser during a normal examination of the article, without needing to search for it. It should not be hidden by other markings, folds, packaging elements, or placed somewhere unlikely to be seen. CBP evaluates conspicuousness based on how a typical customer would handle and inspect that type of product in the ordinary course of a purchase.

#431 · Country of Origin Marking and Intellectual Property Rights

Which agency must first register a trademark or copyright before CBP recordation?

Answer

A trademark must first be registered with the United States Patent and Trademark Office, and a copyright must first be registered with the U.S. Copyright Office, before the rights holder can record it with CBP through e-Recordation. CBP recordation is a separate, additional step that activates border enforcement but does not itself create the underlying intellectual property right. Patents are handled differently and are enforced primarily through exclusion orders from the U.S. International Trade Commission rather than routine CBP recordation.

#432 · Country of Origin Marking and Intellectual Property Rights

Why is timely e-Recordation renewal important for a rights holder?

Answer

CBP recordation of a trademark or copyright is tied to the term of the underlying registration and generally must be renewed to remain active in CBP's enforcement system, matching the renewal cycle of the USPTO or Copyright Office registration. If recordation lapses, CBP officers at the border lose the recorded reference needed to identify and detain infringing shipments bearing that mark or work. A broker advising a rights holder client should flag the need to keep e-Recordation current alongside the underlying registration to maintain uninterrupted border protection.

#433 · Quota Trade Agreements and Drawback

Are quota goods subject to antidumping or countervailing duties exempt from those duties?

Answer

No, entry of merchandise under a tariff-rate or absolute quota does not exempt it from antidumping or countervailing duty orders that may separately apply to the same product. Quota administration and AD/CVD liability are separate legal regimes, and both must be satisfied independently for lawful entry.

#434 · Quota Trade Agreements and Drawback

Can drawback be claimed if the imported merchandise was used before export?

Answer

Under unused merchandise drawback in 1313(j), the merchandise generally cannot have been used in the United States, though limited operations such as testing, cleaning, repackaging, or inspecting are permitted without disqualifying the claim. If genuine use occurs, the claimant must instead pursue manufacturing drawback if the use resulted in production of a new article.

#435 · Quota Trade Agreements and Drawback

Can drawback be claimed on merchandise processing fees and taxes?

Answer

Yes, drawback generally applies not only to ordinary customs duties but also to the merchandise processing fee and internal revenue taxes paid on imported merchandise, subject to statutory limitations. Certain fees, such as the harbor maintenance tax in some circumstances, have their own specific drawback rules.

#436 · Quota Trade Agreements and Drawback

Can quota merchandise be entered for consumption before the quota period opens?

Answer

No, merchandise subject to a quota cannot be entered for consumption before the official opening date and time of the quota period, which is set by CBP headquarters. Importers may present merchandise for quota processing on the opening day, and CBP allocates the quota on a first-come, first-served basis among entries presented at that time.

#437 · Quota Trade Agreements and Drawback

How does USMCA differ from NAFTA on automotive rules of origin?

Answer

USMCA raised the regional value content requirement for passenger vehicles to 75 percent, up from NAFTA's 62.5 percent, phased in over several years. USMCA also added new labor value content requirements and steel and aluminum purchasing requirements that did not exist under NAFTA's automotive rules.

#438 · Quota Trade Agreements and Drawback

Name the CBP form used to enter quota class merchandise.

Answer

Quota class merchandise is entered using CBP Form 3461 for immediate delivery or the standard entry summary process, with the entry summary reflecting the specific quota category and visa or export certificate information if required. The entry must identify the correct quota category number so CBP can properly charge it against the quota.

#439 · Quota Trade Agreements and Drawback

What agency administers textile and apparel quota allocations?

Answer

CBP administers the actual entry and quota charge processing for textile and apparel shipments, while the Committee for the Implementation of Textile Agreements historically coordinated US textile trade policy and quota negotiations with trading partners. Most historical textile quotas under the Multifiber Arrangement were phased out following the WTO Agreement on Textiles and Clothing.

#440 · Quota Trade Agreements and Drawback

What are the four main methods of determining USMCA origin?

Answer

USMCA origin can be established by goods wholly obtained or produced entirely in the USMCA region, goods produced entirely from originating materials, goods meeting a specific tariff shift or regional value content rule under Annex 4-B, or certain unassembled or disassembled goods classified as if assembled. The applicable rule depends on the good's tariff classification and specific product rule.

#441 · Quota Trade Agreements and Drawback

What does commercially interchangeable mean for substitution drawback?

Answer

For unused merchandise substitution drawback under 19 USC 1313(j)(2), the current test is not commercial interchangeability. The two products must be classifiable under the same 8-digit HTSUS subheading. Commercial interchangeability was the older standard and was removed from subsection (j) by TFTEA, so a claimant should not rely on marketplace fungibility alone to establish eligibility. The commercial interchangeability standard survives only for finished petroleum derivatives under subsection (p).

#442 · Quota Trade Agreements and Drawback

What happens to drawback eligibility if merchandise is destroyed for commercial rather than customs reasons?

Answer

Destruction performed for ordinary commercial reasons, without CBP supervision or an approved alternative verification procedure, generally does not qualify for drawback because the statute requires supervised destruction to confirm the merchandise did not enter US commerce. Claimants must follow CBP's specific destruction notification and witnessing procedures to preserve drawback eligibility.

#443 · Quota Trade Agreements and Drawback

What happens when an absolute quota fills during the presentation period?

Answer

If entries presented at quota opening exceed the available quota quantity, CBP prorates the quota among all entries filed at that time using a percentage calculated from the total demand. Merchandise not covered by the prorated allocation is denied entry for consumption and must be warehoused, exported, or destroyed.

#444 · Quota Trade Agreements and Drawback

What is 19 USC 1313(a) drawback?

Answer

Section 1313(a) covers manufacturing drawback by direct identification, allowing a refund when imported merchandise is used to manufacture or produce an article that is subsequently exported or destroyed. The specific imported merchandise used in production must be traceable to the exported article, typically through inventory and production records.

#445 · Quota Trade Agreements and Drawback

What is 19 USC 1313(b) drawback?

Answer

Section 1313(b) covers substitution manufacturing drawback for merchandise used in manufacturing and then exported. It permits a claimant to substitute other merchandise for the designated imported merchandise when the two meet the statutory same kind and quality standard, and modern TFTEA-based rules also recognize merchandise classifiable under the same 8-digit HTSUS subheading. This allows drawback even when the exact imported goods are not the ones physically used in the exported article, but the unused merchandise substitution rule under subsection (j)(2) is separate and rests on the 8-digit HTSUS subheading match.

#446 · Quota Trade Agreements and Drawback

What is 19 USC 1313(c) drawback?

Answer

Section 1313(c) covers rejected merchandise drawback, allowing a refund of duties on imported merchandise that does not conform to sample or specifications, was shipped without the consent of the consignee, or was determined to be defective at the time of importation, provided it is returned to CBP custody and exported or destroyed.

#447 · Quota Trade Agreements and Drawback

What is 19 USC 1313(j) drawback?

Answer

Section 1313(j) covers unused merchandise drawback, which applies when imported merchandise is exported or destroyed without having been used in the United States. It includes direct identification unused merchandise drawback, which traces the specific imported item, and substitution unused merchandise drawback under subsection (j)(2). Substitution under (j)(2) rests on the substituted and imported merchandise being classifiable under the same 8-digit HTSUS subheading. It does not rest on the two products being commercially interchangeable; that standard was removed from subsection (j) by TFTEA and survives only for finished petroleum derivatives under subsection (p).

#448 · Quota Trade Agreements and Drawback

What is a certificate of delivery in drawback?

Answer

A certificate of delivery is a document used to transfer drawback rights when imported merchandise passes through an intermediate party, such as a distributor, before reaching the party that ultimately exports or uses it in manufacturing. It certifies the identity, quantity, and import information of the merchandise being transferred so drawback eligibility follows the goods.

#449 · Quota Trade Agreements and Drawback

What is a certificate of manufacture and delivery?

Answer

A certificate of manufacture and delivery documents that a manufacturer produced an article using designated imported or substituted merchandise and then delivered that article to another party who will export it or use it in further manufacturing. It preserves the chain of drawback eligibility between successive parties in a multi-party drawback transaction.

#450 · Quota Trade Agreements and Drawback

What is a drawback accelerated payment privilege?

Answer

Accelerated payment is a privilege granted by CBP that allows a drawback claimant to receive estimated drawback payment shortly after filing a complete claim, rather than waiting for CBP's full liquidation review. The claimant must post a bond to secure any potential refund of the accelerated payment if the claim is later denied or adjusted.

#451 · Quota Trade Agreements and Drawback

What is a drawback compliance program?

Answer

A drawback compliance program is a set of internal procedures, controls, and recordkeeping practices that a drawback claimant establishes to ensure claims are accurate and supportable. CBP may request evidence of a compliance program, and having one strengthens a claimant's position during a drawback claim audit or verification.

#452 · Quota Trade Agreements and Drawback

What is a multiple drawback claim covering different provisions?

Answer

A claimant may file separate drawback claims under different statutory provisions, such as manufacturing drawback and unused merchandise drawback, for different portions of imported merchandise depending on how each portion was ultimately used or exported. Each claim type has its own eligibility requirements, documentation, and calculation method that must be independently satisfied.

#453 · Quota Trade Agreements and Drawback

What is a tariff preference level (TPL) under USMCA?

Answer

A tariff preference level is a quantitative limit that allows a specified volume of certain textile and apparel goods made with non-originating materials to still receive preferential USMCA tariff treatment. TPLs function similarly to a tariff-rate quota but apply specifically to textile goods that do not otherwise meet the standard rule of origin.

#454 · Quota Trade Agreements and Drawback

What is a tariff-rate quota (TRQ)?

Answer

A tariff-rate quota allows a specified quantity of goods to enter at a lower duty rate during a set period. Once that quantity is reached, additional quantities of the same merchandise may still enter, but at a higher, over-quota duty rate. Unlike an absolute quota, entry is never physically blocked, only taxed differently.

#455 · Quota Trade Agreements and Drawback

What is a tariff shift rule under USMCA rules of origin?

Answer

A tariff shift rule requires that non-originating materials used to produce a good undergo a change in tariff classification, from the material's HTS heading or subheading to the finished good's HTS classification, as specified in the product-specific rules. This demonstrates that sufficient transformation occurred within the USMCA territory to confer origin.

#456 · Quota Trade Agreements and Drawback

What is a waiver of prior notice in drawback?

Answer

A waiver of prior notice is CBP approval allowing a drawback claimant to forgo the requirement to notify CBP in advance of intent to export or destroy merchandise for drawback purposes. Approval is generally based on the claimant's compliance history and does not eliminate recordkeeping obligations, only the advance notification step.

#457 · Quota Trade Agreements and Drawback

What is an absolute quota?

Answer

An absolute quota sets a strict numerical limit on the quantity of a specific good that may enter the United States for consumption during a specified period. Once the quota quantity is filled, no additional merchandise may enter for consumption until the next quota period opens. Excess merchandise must be exported, destroyed, or entered for warehouse until the quota reopens.

#458 · Quota Trade Agreements and Drawback

What is an export certificate or visa in the context of textile quotas?

Answer

An export visa is a stamp, seal, or endorsement placed by a foreign government on an invoice or export control document certifying that a shipment of textiles or apparel has been properly charged against that country's export quota. CBP requires the visa to accompany quota-controlled textile shipments to verify compliance with bilateral or multilateral quota agreements.

#459 · Quota Trade Agreements and Drawback

What is destruction drawback?

Answer

Destruction drawback allows a refund of duties when eligible merchandise is destroyed under CBP supervision instead of being exported, and the destruction must render the merchandise commercially valueless or reduce it to its constituent materials. CBP or an approved alternative supervision method must witness or verify the destruction for the claim to be valid.

#460 · Quota Trade Agreements and Drawback

What is direct shipment under GSP?

Answer

GSP generally requires that eligible goods be shipped directly from the beneficiary country to the United States without entering the commerce of a third, non-beneficiary country. Goods may pass through an intermediate country only if they remain under customs control and do not undergo further manufacturing beyond minor operations such as unloading or repacking.

#461 · Quota Trade Agreements and Drawback

What is drawback under 19 USC 1313?

Answer

Drawback is a refund of up to 99 percent of duties, taxes, and certain fees paid on imported merchandise that is subsequently exported or destroyed under CBP supervision. It exists to help US manufacturers and exporters compete internationally by not penalizing goods that ultimately leave US commerce.

#462 · Quota Trade Agreements and Drawback

What is regional value content (RVC) under USMCA?

Answer

Regional value content is a calculation, expressed as a percentage, showing how much of a good's value comes from originating materials and production within the USMCA region. USMCA permits either the transaction value method or the net cost method to calculate RVC, and the required percentage threshold varies by product, such as the higher thresholds for automotive goods.

#463 · Quota Trade Agreements and Drawback

What is TFTEA and how did it change drawback?

Answer

TFTEA is the Trade Facilitation and Trade Enforcement Act of 2015, which modernized the drawback program effective February 24, 2018. It established a uniform 5-year claim filing period, required electronic filing of drawback claims through ACE, and moved substitution drawback toward an objective tariff classification basis using the same 8-digit HTSUS subheading. For unused merchandise substitution under subsection (j)(2), the 8-digit HTSUS subheading match replaced commercial interchangeability, which now survives only for finished petroleum derivatives under subsection (p).

#464 · Quota Trade Agreements and Drawback

What is the de minimis rule under USMCA?

Answer

The de minimis provision allows a good to still qualify as originating even if it contains non-originating materials that fail to undergo the required tariff shift, provided the value of those materials does not exceed 10 percent of the total value of the good. Certain products, including some textiles and agricultural goods, are excluded from this de minimis allowance.

#465 · Quota Trade Agreements and Drawback

What is the difference between a quota and a tariff preference program like GSP?

Answer

A quota limits the quantity of goods that may enter at a given duty treatment within a specified period, regardless of the good's country of origin qualifications. A tariff preference program like GSP instead grants reduced or duty-free treatment based on the good meeting specific origin rules from a designated beneficiary country, without any quantity limitation on eligible goods.

#466 · Quota Trade Agreements and Drawback

What is the difference between drawback and duty deferral?

Answer

Drawback is a refund of duties already paid on imported merchandise that is subsequently exported or destroyed, while duty deferral programs, such as bonded warehouses or foreign trade zones, postpone the payment of duty until the merchandise formally enters US commerce. Drawback returns money already collected, whereas deferral simply delays the collection point.

#467 · Quota Trade Agreements and Drawback

What is the drawback claim filing window under TFTEA?

Answer

Under TFTEA, a drawback claim must be filed within 5 years from the date of importation of the merchandise on which drawback is claimed, and the underlying export or destruction must occur within that same 5-year window. This replaced the more complex, varying time limits that existed under the pre-TFTEA drawback statute.

#468 · Quota Trade Agreements and Drawback

What is the Generalized System of Preferences (GSP)?

Answer

GSP is a US trade preference program that allows eligible products from designated beneficiary developing countries to enter the United States duty-free. Eligibility depends on both the country's beneficiary status and the product being designated as GSP-eligible, and the program requires periodic congressional reauthorization to remain in effect.

#469 · Quota Trade Agreements and Drawback

What is the significance of the HTS 8-digit subheading in modern substitution drawback?

Answer

TFTEA standardized substitution drawback eligibility so that imported and substituted merchandise must be classifiable under the same 8-digit HTSUS subheading. For unused merchandise substitution under 19 USC 1313(j)(2), that tariff classification match replaced the older commercial interchangeability standard rather than sitting alongside it. This gives importers and CBP an objective, tariff-classification-based benchmark for substitution eligibility.

#470 · Quota Trade Agreements and Drawback

What records must a drawback claimant retain and for how long?

Answer

A drawback claimant must retain all records supporting the claim, including import entries, inventory records, manufacturing records, and proof of exportation, for 3 years from the date of payment of the claim. Failure to produce adequate records upon CBP request can result in denial or recovery of the drawback previously paid.

#471 · Quota Trade Agreements and Drawback

What rule of origin applies for GSP eligibility?

Answer

To qualify for GSP, a good must be either wholly the growth, product, or manufacture of a beneficiary country, or substantially transformed there into a new and different article of commerce. Additionally, the sum of the cost or value of materials produced in the beneficiary country plus the direct costs of processing must equal at least 35 percent of the good's appraised value.

#472 · Quota Trade Agreements and Drawback

Who may complete a USMCA certification of origin?

Answer

Under USMCA, the certification of origin may be completed by the exporter, producer, or importer of the good, unlike NAFTA which required a specific standardized exporter certificate. The certification is not a prescribed government form but must contain nine minimum data elements set out in USMCA implementation guidance.

#473 · Practical Exercises and General Broker Duties

Does the Harbor Maintenance Fee apply to air or truck shipments?

Answer

No, the Harbor Maintenance Fee applies only to cargo transported by ocean vessel through a U.S. port that uses federally maintained channels. Air freight and land border truck or rail shipments are not subject to the HMF. This distinguishes it from the MPF, which applies across all modes of transportation.

#474 · Practical Exercises and General Broker Duties

How do you compute total duty plus fees owed on a formal ocean entry?

Answer

Add the ad valorem or specific duty calculated from the HTSUS rate, the MPF calculated at 0.3464 percent of entered value and checked against the minimum and maximum, and the HMF calculated at 0.125 percent of value if the shipment arrived by vessel. Any applicable internal revenue tax, such as on alcohol or tobacco, is added as well. The sum of all these amounts equals the total estimated payment due with the entry summary.

#475 · Practical Exercises and General Broker Duties

Is the Harbor Maintenance Fee capped like the formal entry MPF?

Answer

No, the Harbor Maintenance Fee has no statutory minimum or maximum cap, unlike the MPF on formal entries. It is calculated as a straight 0.125 percent of the cargo value with no ceiling. This means large ocean shipments can generate substantial HMF amounts with no upper limit.

#476 · Practical Exercises and General Broker Duties

Is the informal entry MPF affected by the value of the merchandise?

Answer

No, the informal entry MPF is a flat dollar amount that does not change with the value of the goods, unlike the formal entry MPF which is ad valorem. A shipment valued at 200 dollars and one valued at 2,400 dollars, both entered informally, pay the same flat MPF amount. This flat structure simplifies fee calculation for lower value shipments.

#477 · Practical Exercises and General Broker Duties

May a broker share confidential business information from a client without permission?

Answer

No, a broker must not disclose confidential information obtained from a client without the client's authorization, except as required by law or in response to a lawful CBP request. This duty protects trade secrets, pricing, and supplier information from unauthorized disclosure. Breaching client confidentiality can lead to disciplinary action against the broker's license.

#478 · Practical Exercises and General Broker Duties

On CBP Form 7501, what does Box 32 report?

Answer

Box 32 reports the entered value of the merchandise for each line item, which is the basis used to calculate ad valorem duty. This value must match the transaction value or other appraisement method used and support the duty calculation shown in the totals. An incorrect entered value directly misstates the duty owed.

#479 · Practical Exercises and General Broker Duties

What are the statutory minimum and maximum MPF amounts on a formal entry?

Answer

For a formal entry the MPF is subject to a statutory minimum per entry and a statutory maximum per entry, both of which are periodically adjusted for inflation. If 0.3464 percent of the entered value falls below the minimum, the minimum fee applies instead. If it exceeds the maximum, the fee is capped at the maximum regardless of entered value.

#480 · Practical Exercises and General Broker Duties

What does Box 34 of CBP Form 7501 contain?

Answer

Box 34 contains the duty rate applicable to the HTSUS number listed in Box 33 for that line item. This rate is applied against the entered value or quantity to compute the estimated duty owed. Any special trade program claimed must also be reflected in the rate used.

#481 · Practical Exercises and General Broker Duties

What duty does a broker owe regarding exercise of due diligence?

Answer

A broker must exercise due diligence in making financial settlements, answering correspondence, and preparing or assisting in the preparation and filing of customs documents. This includes verifying that information provided to CBP is accurate to the best of the broker's knowledge. Due diligence protects both the client's interests and the integrity of the customs process.

#482 · Practical Exercises and General Broker Duties

What ethical duty applies to a broker's dealings with CBP officials?

Answer

A broker must not obstruct or attempt to influence improperly any CBP officer, and must deal with CBP in an honest and straightforward manner at all times. Brokers are expected to correct inaccuracies as soon as they are discovered rather than allow them to stand. This duty of candor supports the trusted relationship brokers hold with the government.

#483 · Practical Exercises and General Broker Duties

What information appears in Box 33 of CBP Form 7501?

Answer

Box 33 shows the HTSUS classification number assigned to each line item of merchandise. This ten-digit number determines the applicable duty rate and whether any special program indicators or trade remedy duties apply. The broker must ensure the number matches the actual duty rate entered in Box 34.

#484 · Practical Exercises and General Broker Duties

What is a broker's duty regarding client funds held for duties, taxes, and fees?

Answer

A broker must account promptly for and deliver funds, such as duty and fee payments or refunds, that belong to a client and come into the broker's possession. Client funds must not be commingled improperly or withheld beyond what is reasonably necessary to complete the transaction. Mishandling client money is a serious violation subject to license revocation.

#485 · Practical Exercises and General Broker Duties

What is a broker's duty to keep clients informed?

Answer

A broker must advise its client promptly of any information the broker receives from CBP or develops that materially affects the client's interest in a transaction. This includes notices of liquidation, requests for information, or discovered errors in classification or valuation. Keeping the client informed allows the client to make timely decisions and respond to CBP.

#486 · Practical Exercises and General Broker Duties

What is a broker's fundamental duty of exercising responsible supervision and control?

Answer

A licensed customs broker must exercise responsible supervision and control over the customs business it conducts, including transactions handled by employees and permitted persons under the license. This means maintaining adequate procedures, training, and oversight so that entries and other filings are accurate and compliant. Failure to do so can result in disciplinary action against the broker's license or permit.

#487 · Practical Exercises and General Broker Duties

What is the broker's obligation regarding recordkeeping?

Answer

A broker must retain records relating to its customs business, including entries, invoices, and correspondence, for a period generally set at five years from the date of entry. Records must be made available to CBP upon reasonable request for audit or verification purposes. Failure to maintain required records can result in penalties independent of any underlying entry error.

#488 · Practical Exercises and General Broker Duties

What is the consequence of a broker filing an entry summary with a materially incorrect duty calculation due to carelessness?

Answer

A materially incorrect duty calculation caused by carelessness can result in CBP issuing a penalty against the importer of record and can also expose the broker to liability for failing to exercise responsible supervision and due diligence. CBP may pursue corrective action such as a post-entry amendment or protest to fix the underpayment. Repeated careless errors can lead to disciplinary proceedings against the broker's license.

#489 · Practical Exercises and General Broker Duties

What is the Merchandise Processing Fee (MPF)?

Answer

The MPF is an ad valorem fee charged on most formal and informal entries of merchandise imported into the United States. On formal entries it is 0.3464 percent of the entered value, subject to a statutory minimum and maximum per entry. It funds CBP's processing of commercial importations.

#490 · Practical Exercises and General Broker Duties

What is the MPF rate for a formal entry?

Answer

The MPF for a formal entry is calculated at 0.3464 percent of the entered value of the merchandise. This ad valorem rate applies regardless of the specific tariff classification, unless the goods qualify for an exemption. The resulting fee is then checked against the statutory minimum and maximum before being entered on Form 7501.

#491 · Practical Exercises and General Broker Duties

What is the MPF rate for an informal entry?

Answer

An informal entry is charged a flat MPF amount rather than an ad valorem percentage. This flat fee does not vary with the value of the merchandise, unlike the formal entry MPF. Informal entries generally cover shipments valued at 2,500 dollars or less that are not subject to formal entry requirements.

#492 · Practical Exercises and General Broker Duties

What must a broker do before signing a power of attorney relationship with a new importer client?

Answer

A broker must obtain a properly executed power of attorney from the importer authorizing the broker to transact customs business on the importer's behalf. The broker should also exercise reasonable care to verify the identity of the client granting the power of attorney. This document establishes the broker's legal authority to file entries and make representations to CBP for that client.

#493 · Practical Exercises and General Broker Duties

What must a broker do if it knows a client has made a material false statement to CBP?

Answer

A broker who has actual knowledge that a client has violated laws or regulations relating to customs business, causing a material omission or false statement, must promptly advise the client to correct it. If the client refuses to correct it, the broker must timely notify CBP. This obligation exists to preserve the integrity of the customs entry process.

#494 · Practical Exercises and General Broker Duties

What rounding rule applies when calculating duty and fee amounts?

Answer

Calculated duty and fee amounts are generally rounded to the nearest cent, following standard rounding rules where 0.5 cents or more rounds up. This applies separately to each individual duty, MPF, and HMF calculation before they are summed on the entry summary. Consistent rounding at each step avoids compounding small errors across multiple line items.

#495 · Practical Exercises and General Broker Duties

Where are total estimated duties, taxes, and fees summarized on Form 7501?

Answer

The bottom summary block of CBP Form 7501, commonly labeled Boxes 35 through 40, totals the duty, merchandise processing fee, harbor maintenance fee, and any internal revenue tax owed on the entry. Box 40 shows the total amount due to CBP. This figure must equal the sum of all line-item calculations on the form.

#496 · Practical Exercises and General Broker Duties

Worked example: calculate HMF on an ocean shipment valued at 80,000 dollars.

Answer

Multiply 80,000 dollars by 0.00125, which equals 100.00 dollars. This is the Harbor Maintenance Fee owed on the shipment, and unlike the MPF it has no statutory minimum or maximum cap. The HMF would be added separately to duty and MPF when totaling the amount due on the entry.

#497 · Practical Exercises and General Broker Duties

Worked example: calculate MPF on a formal entry valued at 1,000 dollars.

Answer

Multiplying 1,000 dollars by 0.003464 gives 3.46 dollars, which is below the statutory minimum MPF for a formal entry. Because the calculated fee falls under the floor amount, the broker must charge the statutory minimum instead of the calculated 3.46 dollars. This illustrates why the minimum and maximum caps must always be checked after the ad valorem calculation.

#498 · Practical Exercises and General Broker Duties

Worked example: calculate MPF on a formal entry valued at 50,000 dollars.

Answer

Multiply 50,000 dollars by 0.003464, which equals 173.20 dollars. Since this amount falls between the statutory minimum and maximum for a formal entry, 173.20 dollars is the MPF owed. This figure would then be added to duty and any other applicable fees to reach the total amount due.

#499 · Practical Exercises and General Broker Duties

Worked example: total duty and fees on a 40,000 dollar ocean shipment with a 5 percent duty rate.

Answer

Duty is 40,000 dollars times 0.05, equaling 2,000 dollars. MPF is 40,000 dollars times 0.003464, equaling 138.56 dollars, which falls within the statutory range. HMF is 40,000 dollars times 0.00125, equaling 50.00 dollars, giving a total of 2,188.56 dollars owed.

#500 · Practical Exercises and General Broker Duties

Worked example: total MPF and HMF on a 15,000 dollar air freight formal entry.

Answer

MPF is 15,000 dollars times 0.003464, equaling 51.96 dollars, which is checked against the statutory minimum and maximum for a formal entry. Because the shipment arrived by air, no Harbor Maintenance Fee applies since HMF is charged only on ocean cargo. The total fee owed, before duty, is therefore just the 51.96 dollars in MPF, assuming that figure clears the statutory minimum.